Equity Research

WELLS FARGO

Multi Company Update — August 28, 2026

Aerospace & Defense
Government Services
Space

Weekly Wingman

Our Call

OE acceleration underway, see outgrowing AM in 2H. Maintain preference OE over AM. ATI/BA/HXL top OE picks; RR/WWD in AM. Defense revenue growth inflecting with further upside to come, prefer GD/NOC. See our Where to from Now Post Earnings.

Up Next: SAIC reports Q2 on Monday. Competitor conferences begin early September. FLY hosts its investor day September 10 and BWXT September 29.

OE: Supplier OE growth accelerated to high-teens in Q2, up from mid-teens in Q1 and 5-10% in 2025. We see upside to guidance for mid-teens 2H OE growth and forecast 15-20% OE growth in 2027.

Aftermarket: Aftermarket strength continued in Q2 with 20%+ growth. Engine aftermarket continues to outgrow non-engine. Guidance is for low DD 2H aftermarket growth. Unlikely AM slows this much this fast even on more difficult comps, but we see further deceleration into 2027 on high in-warranty flight hour growth, driven by increasing deliveries and increasing GTF aircraft returning to service.

Defense: All signs point to continued HSD+ revenue growth, ahead of MSD consensus expectations. This includes backlogs at 2.5x sales as well as the modernization outlays gap (budget vs outlays), which leads revenue growth, now at 50%, highest since early 1980s. While FY27 budget process (reconciliation) and midterms remain overhangs, we think defense can continue to grind higher from here still at 10% discount to market.

PT Change: We lower our YSS price target to $17 from $35, still reflecting 3.5x our lower 2028 revenue estimate. We lower our 2028 revenue estimate to reflect recent updates regarding Space Data Network. We also update our estimates for ARXS to reflect Omnetics acquisition and HEI following Q3 earnings.

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All estimates/forecasts are as of 8/28/2026 unless otherwise stated. 8/28/2026 12:15:59EDT. Please see page 34 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

Financials

Company Name (Ticker)	Rating	Price 08/27/26	FY EPS 2026E Curr.	FY EPS 2026E Prior	FY EPS 2027E Curr.	FY EPS 2027E Prior	FY P/E 2026	FY P/E 2027	Price Target To	Price Target From	Upside PT	Downside PT
Aerospace & Defense												
Airbus SE (AIR-FR)	EW	€203.40	€7.85	NC	€9.30	NC	25.9x	21.9x	€210.00	NC	€240.00	€175.00
Arxis, Inc. (ARXS)	OW	$54.01	$0.97	$0.98	$1.31	$1.34	55.6x	41.3x	$63.00	NC	$73.00	$53.00
ATI Inc. (ATI)	OW	$214.52	$5.18	NC	$7.00	NC	41.4x	30.6x	$275.00	NC	$320.00	$230.00
BWX Technologies, Inc. (BWXT)	EW	$155.85	$4.80	NC	$5.40	NC	32.4x	28.9x	$170.00	NC	$190.00	$110.00
Carpenter Technology Corporation (CRS)	EW	$490.58	$10.77A	NC	$13.75	NC	45.5x	35.7x	$540.00	NC	$620.00	$450.00
Firefly Aerospace Inc. (FLY)	EW	$22.16	$(1.97)	NC	$(2.51)	NC	NM	NM	$25.00	NC	$52.00	$13.00
GE Aerospace (GE)	OW	$342.73	$8.15	NC	$10.00	NC	42.0x	34.3x	$390.00	NC	$475.00	$300.00
General Dynamics Corporation (GD)	OW	$380.06	$17.10	NC	$18.20	NC	22.2x	20.9x	$440.00	NC	$500.00	$370.00
HEICO Corporation (HEI)	EW	$337.01	$6.45	$6.40	$7.60	$7.45	52.3x	44.3x	$350.00	NC	$400.00	$300.00
Hexcel Corporation (HXL)	OW	$94.71	$2.43	NC	$3.17	NC	38.9x	29.9x	$120.00	NC	$135.00	$100.00
Honeywell Aerospace Inc. (HONA)	EW	$160.75	$7.70	NC	$9.00	NC	20.9x	17.9x	$195.00	NC	$225.00	$160.00
Howmet Aerospace Inc. (HWM)	EW	$267.65	$5.40	NC	$6.90	NC	49.6x	38.8x	$315.00	NC	$360.00	$270.00
Huntington Ingalls Industries, Inc. (HII)	EW	$297.29	$19.30	NC	$21.80	NC	15.4x	13.6x	$340.00	NC	$400.00	$290.00
Lockheed Martin Corporation (LMT)	EW	$565.89	$30.80	NC	$33.60	NC	18.4x	16.8x	$600.00	NC	$675.00	$525.00
Northrop Grumman Corporation (NOC)	OW	$545.13	$29.00	NC	$29.50	NC	18.8x	18.5x	$620.00	NC	$750.00	$470.00
Rolls-Royce Holdings plc (RR-GB)	OW	£15.30	£0.48	NC	£0.57	NC	32.1x	26.7x	£17.50	NC	£20.50	£14.50
RTX Corporation (RTX)	EW	$212.08	$7.35	NC	$8.15	NC	28.8x	26.0x	$230.00	NC	$260.00	$200.00
Safran SA (SAF-FR)	OW	€343.20	€10.19	NC	€13.45	NC	33.7x	25.5x	€390.00	NC	€440.00	€330.00
StandardAero Inc. (SARO)	OW	$25.08	$1.55	NC	$1.85	NC	16.2x	13.6x	$32.00	NC	$37.00	$22.00
Textron Inc. (TXT)	EW	$82.35	$6.60	NC	$7.25	NC	12.5x	11.4x	$92.00	NC	$105.00	$75.00
The Boeing Company (BA)	OW	$209.89	$0.50	NC	$6.49	NC	NM	32.4x	$250.00	NC	$285.00	$185.00
TransDigm Group Incorporated (TDG)	EW	$1,186.48	$41.55	NC	$49.92	NC	28.6x	23.8x	$1,450.00	NC	$1,650.00	$1,250.00
Woodward, Inc. (WWD)	OW	$346.34	$9.60	NC	$11.40	NC	36.1x	30.4x	$440.00	NC	$510.00	$335.00
Government Services												
Booz Allen Hamilton Holding Corporation (BAH)	EW	$74.88	$6.52A	NC	$6.30	NC	11.5x	11.9x	$80.00	NC	$100.00	$60.00
CACI International Inc (CACI)	OW	$633.82	$29.83A	NC	$33.70	NC	21.2x	18.8x	$715.00	NC	$830.00	$600.00
Leidos Holdings, Inc. (LDOS)	EW	$139.86	$12.55	NC	$13.05	NC	11.1x	10.7x	$165.00	NC	$190.00	$140.00
Space												
Voyager Technologies Inc. (VOYG)	UW	$34.73	$(2.90)	NC	$(1.36)	NC	NM	NM	$21.00	NC	$25.00	$15.00
York Space Systems Inc. (YSS)*	OW	$9.19	$424.6	$570.0	$489.7	$842.3	1.8x	1.5x	$17.00	$35.00	$24.00	$8.00

** For YSS estimates represent Rev. (MM), valuation multiple EV/Revenue*
TDG EPS:
Source: Company data and Wells Fargo Securities, LLC estimates, and Factset.
OW = Overweight, EW = Equal Weight, UW = Underweight, NR = Not Rated
NA = Not Available, NC = No Change, NE = No Estimate, NM = Not Meaningful

Exhibit 1 - Company Rating and Price Target - Aerospace

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
ATI	OW	29.0	$213	$275	29%
WWD	OW	20.4	$346	$440	27%
SARO	OW	8.3	$25	$32	27%
HXL	OW	7.2	$95	$120	27%
TDG	EW	66.7	$1,207	$1,450	20%
HONA	EW	52.0	$164	$195	19%
BA	OW	167.6	$212	$250	18%
ARXS	OW	22.5	$54	$63	17%
HWM	EW	107.4	$269	$315	17%
RR.L	OW	128.9	£15.5	£17.5	13%
SAF	OW	146.0	£349	£390	12%
CRS	EW	24.0	$484	$540	12%
TXT	EW	14.3	$83	$92	10%
GE	OW	367.7	$354	$390	10%
RTX	EW	285.7	$212	$230	8%
AIR.PA	EW	162.5	€ 205	€ 210	2%
HEI	EW	40.7	$346	$350	1%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 8/26/26

Exhibit 2 - Company Rating and Price Target - Defense

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
GD	OW	103.4	$382	$440	15%
HII	EW	11.7	$296	$340	15%
NOC	OW	78.1	$550	$620	13%
BWXT	EW	14.0	$153	$170	11%
LMT	EW	130.5	$566	$600	6%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 8/26/26

Exhibit 3 - Company Rating and Price Target - Government Services

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
LDOS	EW	17.2	$137	$165	20%
CACI	OW	13.8	$625	$715	14%
BAH	EW	8.9	$74	$80	8%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 8/26/26

Exhibit 4 - Company Rating and Price Target - Space

Ticker	Rating	Market Cap ($B)	Current Price	Price Target	Upside Downside
YSS	OW	1.3	$9	$17	85%
FLY	EW	3.7	$22	$25	13%
VOYG	UW	2.1	$35	$21	-40%

Source: Bloomberg and Wells Fargo Securities, LLC estimates

Priced as of 8/26/26

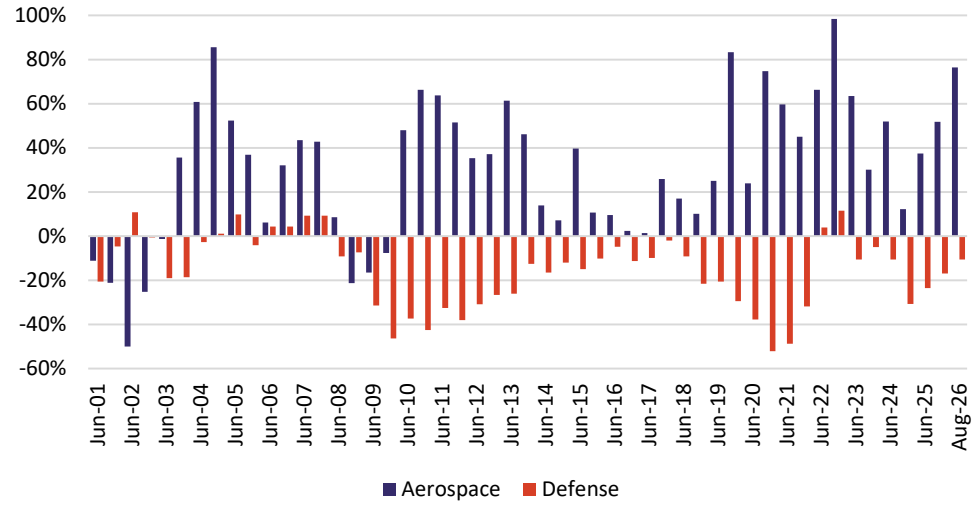
Exhibit 5 - Coverage Comp Table

Company	Ticker	Rating	Price Target	Share Price	Market Cap ($B)	Net Debt ($B)	EV ($B)	Net Debt to EBITDA	P/E		EV/EBITDA		FCF Yield		Dividend Yield
									FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	
Aero															
Arxis Group	ARXS	OW	$63	$54	22.5	1.2	23.7	1.4x	n/a	40.1x	27.9x	21.8x	1.9%	3.1%	0.0%
ATI Inc	ATI	OW	$275	$213	29.0	1.4	30.5	1.2x	41.1x	30.4x	26.0x	20.8x	1.9%	2.8%	0.0%
Boeing Co	BA	OW	$250	$212	167.6	25.9	199.3	5.4x	n/a	40.7x	41.9x	19.4x	1.6%	3.9%	0.0%
Carpenter Technology	CRS	EW	$540	$484	24.0	0.3	24.3	0.4x	44.9x	35.2x	28.6x	23.1x	1.5%	1.8%	0.2%
General Electric Co	GE	OW	$390	$354	367.7	9.8	415.7	0.8x	43.5x	35.4x	34.8x	29.6x	2.5%	2.9%	0.5%
HEICO Corp	HEI	EW	$350	$346	40.7	2.4	43.6	1.6x	54.1x	46.5x	28.6x	25.0x	2.5%	3.1%	0.1%
Honeywell Aerospace Inc	HONA	EW	$195	$164	52.0	14.8	66.6	3.0x	21.3x	18.2x	13.7x	12.2x	2.6%	5.2%	0.0%
Howmet Aerospace	HWM	EW	$315	$269	107.4	3.9	111.5	1.2x	49.9x	39.1x	33.9x	27.7x	1.8%	2.3%	0.2%
Hexcel Corp	HXL	OW	$120	$95	7.2	0.9	8.1	2.2x	38.9x	29.9x	20.1x	17.3x	3.1%	4.1%	0.7%
RTX Corp	RTX	EW	$230	$212	285.7	29.1	318.0	1.9x	28.8x	26.0x	20.5x	18.5x	3.1%	3.9%	1.3%
StandardAero Inc	SARO	OW	$32	$25	8.3	2.3	10.7	2.6x	16.3x	13.6x	11.8x	10.3x	3.5%	6.2%	0.0%
TransDigm Group	TDG	EW	$1,450	$1,207	66.7	30.7	97.5	5.5x	29.1x	24.1x	17.6x	15.7x	3.4%	4.2%	7.6%
Textron	TXT	EW	$92	$83	14.3	2.0	18.8	1.2x	12.8x	11.6x	11.3x	10.5x	5.7%	5.4%	0.1%
Woodward	WWD	OW	$440	$346	20.4	0.9	21.3	0.9x	36.2x	30.8x	23.0x	20.0x	1.6%	2.6%	0.4%
Average								**2.1x**	**34.7x**	**30.1x**	**24.3x**	**19.4x**	**2.6%**	**3.7%**	**0.8%**
Defense															
BWX Technologies	BWXT	EW	$170	$153	14.0	2.0	15.4	3.0x	31.9x	28.4x	23.2x	20.8x	2.5%	3.1%	0.7%
General Dynamics Corp	GD	OW	$440	$382	103.4	3.2	108.5	0.5x	22.3x	21.0x	15.8x	15.0x	4.8%	4.6%	1.6%
HII Inc	HII	EW	$340	$296	11.7	2.7	14.6	2.4x	15.4x	13.6x	13.0x	11.4x	4.3%	5.6%	1.9%
Lockheed Martin Corp	LMT	EW	$600	$566	130.5	16.7	147.3	1.7x	18.4x	16.8x	15.1x	13.9x	5.5%	5.5%	2.4%
Northrop Grumman	NOC	OW	$620	$550	78.1	12.9	92.9	2.1x	19.0x	18.6x	14.9x	14.1x	4.3%	4.5%	1.7%
Average								**1.9x**	**21.4x**	**19.7x**	**16.4x**	**15.0x**	**4.3%**	**4.6%**	**1.9%**
Europe A&D															
Airbus Group NV	AIR.PA	EW	€ 210	€ 205	162.5	(9.1)	151.5	-0.8x	26.1x	22.0x	13.5x	11.8x	3.0%	3.6%	1.6%
Rolls-Royce PLC	RR.L	OW	£17.50	£15.50	128.9	(2.2)	126.2	-0.4x	32.5x	27.0x	20.4x	18.2x	3.5%	4.2%	0.7%
Safran SA	SAF	OW	€ 390	€ 349	146.0	(1.7)	145.4	-0.2x	34.3x	26.0x	16.5x	15.1x	3.6%	4.2%	1.0%
Average								**-0.5x**	**31.0x**	**25.0x**	**16.8x**	**15.0x**	**3.4%**	**4.0%**	**1.1%**
Government Services															
Booz Allen Hamilton	BAH	EW	$80	$74	8.9	3.4	12.5	2.8x	11.4x	11.2x	10.2x	9.8x	10.6%	9.9%	3.1%
CACI International Inc	CACI	OW	$715	$625	13.8	4.7	19.0	4.0x	20.9x	18.5x	16.2x	13.8x	5.6%	7.0%	0.0%
Leidos Inc	LDOS	EW	$165	$137	17.2	5.3	23.1	2.2x	10.9x	10.5x	9.4x	9.2x	9.9%	9.0%	1.2%
Average								**3.0x**	**14.4x**	**13.4x**	**11.9x**	**10.9x**	**8.7%**	**8.7%**	**1.4%**
Space															
Firefly Aerospace Inc	FLY	EW	$25	$22	3.7	(0.6)	3.1	2.2x	n/a	n/a	n/a	n/a	-9.7%	-10.8%	0.0%
Voyager Technologies Inc	VOYG	UW	$21	$35	2.1	0.5	2.3	-3.3x	n/a	n/a	n/a	n/a	-11.3%	-7.1%	0.0%
York Space Systems	YSS	OW	$17	$9	1.3	(0.6)	0.7	21.9x	n/a	n/a	n/a	n/a	0.0%	0.0%	0.0%
Average								**6.6x**	**n/a**	**n/a**	**n/a**	**n/a**	**-7.0%**	**-6.0%**	**0.0%**

Source: Bloomberg and Wells Fargo Securities, LLC estimates

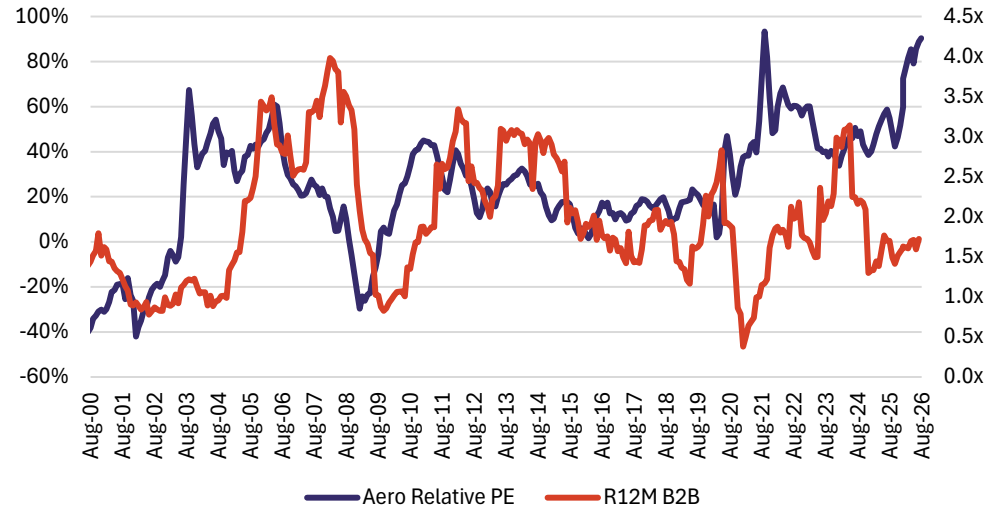
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Exhibit 6 - Aerospace & Defense Relative Valuation (T12M P/E)



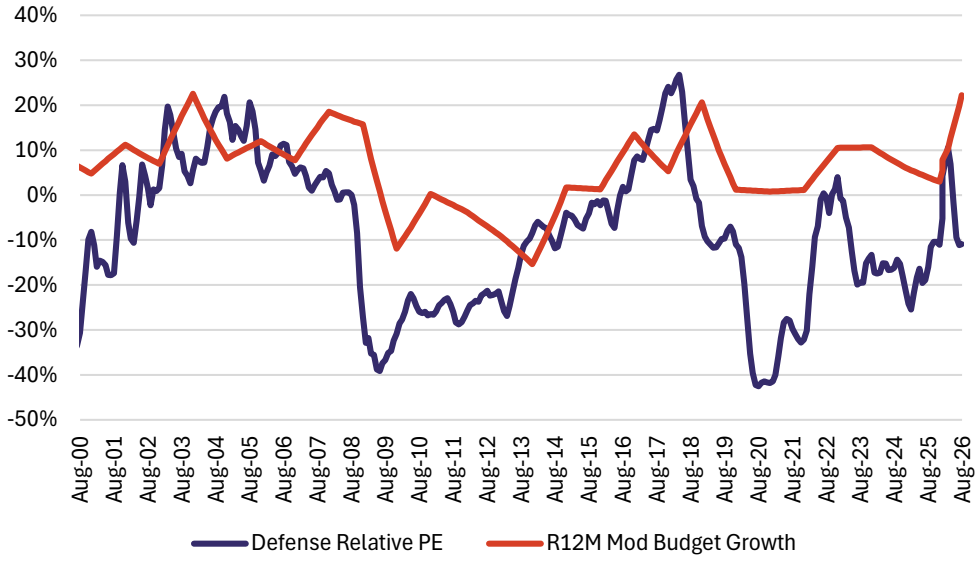
Source: Bloomberg

Exhibit 7 - Aero Relative P/E Multiple vs Book to Bill



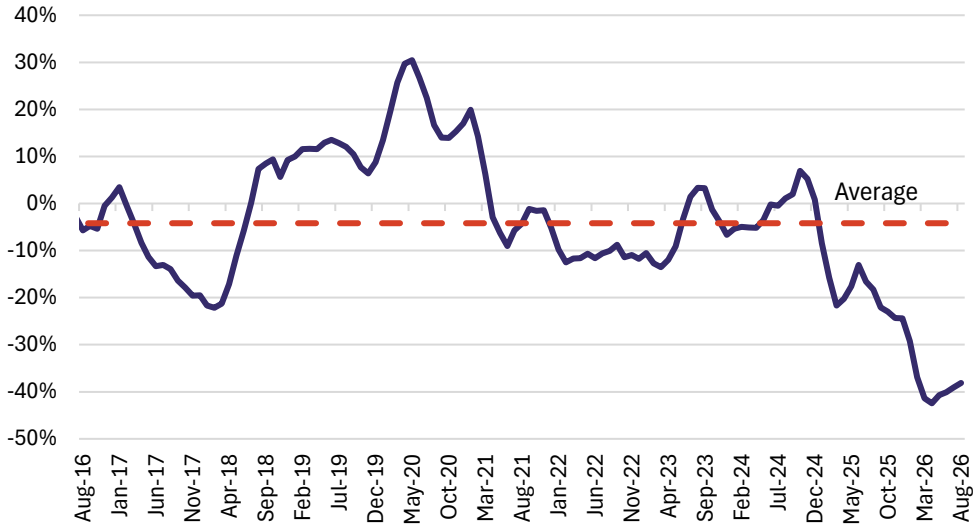
Source: Bloomberg, Company Reports, and Wells Fargo Securities, LLC

Exhibit 8 - Defense Relative P/E Multiple vs Modernization Budget Growth



Source: Bloomberg, DoD, and Wells Fargo Securities, LLC

Exhibit 9 - Government Services Relative P/E Multiple vs Defense



Source: Bloomberg

Government services includes BAH/CACI/LDOS/SAIC, defense includes GD/HII/LHX/LMT/NOC.

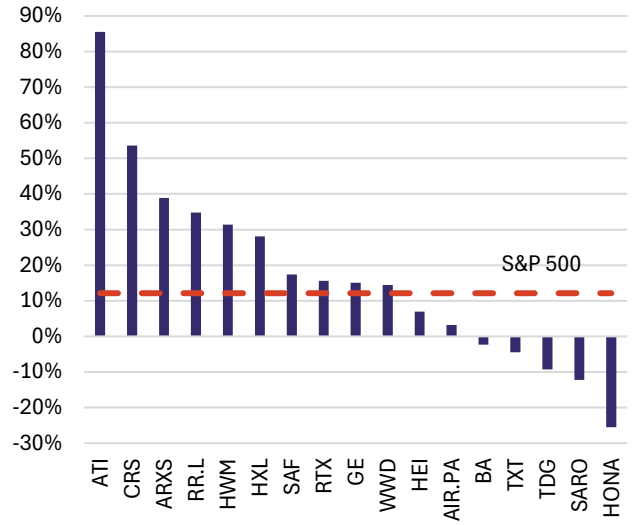
Exhibit 10 - Absolute and Relative Performance

		Absolute Performance				Relative Performance			
Company	**Ticker**	**5D**	**1M**	**3M**	**YTD**	**5D**	**1M**	**3M**	**YTD**
Aerospace OEMs									
Boeing Co	BA	-1%	0%	-5%	-2%	-1%	-3%	-8%	-14%
Bombardier Inc	BBD	-6%	-14%	10%	37%	-6%	-18%	8%	25%
Embraer SA	ERJ	-1%	11%	30%	17%	-1%	7%	28%	5%
Textron Inc	TXT	0%	-13%	-10%	-4%	0%	-17%	-12%	-17%
Weighted Average		-1%	-1%	-2%	3%	-1%	-5%	-4%	-9%
Aerospace Suppliers									
Arxis Group	ARXS	1%	24%	35%	39%	1%	20%	33%	27%
ATI Inc	ATI	3%	10%	25%	85%	3%	7%	23%	73%
Carpenter Technology Corp	CRS	-2%	-17%	5%	54%	-2%	-20%	3%	42%
General Electric	GE	2%	-2%	12%	15%	2%	-6%	10%	3%
HEICO Corp	HEI	-3%	-3%	12%	7%	-3%	-7%	10%	-5%
Hexcel Corp	HXL	1%	-14%	7%	28%	1%	-17%	5%	16%
Honeywell Aerospace Inc	HONA	0%	-22%	n/a	-26%	0%	-26%	n/a	-38%
Howmet Aerospace Inc.	HWM	-1%	-6%	4%	31%	-1%	-10%	2%	19%
Raytheon Technologies Corporation	RTX	1%	-3%	20%	16%	1%	-6%	18%	3%
StandardAero, Inc.	SARO	0%	-15%	-8%	-12%	0%	-18%	-11%	-24%
TransDigm Group Inc	TDG	1%	-6%	-3%	-9%	1%	-10%	-5%	-21%
Woodward Inc	WWD	1%	-18%	-3%	14%	1%	-21%	-5%	2%
Weighted Average		1%	-5%	11%	16%	1%	-8%	10%	4%
Defense									
BWXT Technologies Inc	BWXT	-2%	-13%	-23%	-11%	-2%	-17%	-25%	-24%
Curtiss-Wright Corp	CW	-2%	-17%	-17%	12%	-2%	-20%	-19%	0%
Leonardo DRS Inc	DRS	-5%	-20%	-15%	13%	-5%	-24%	-17%	1%
General Dynamics Corp	GD	-1%	-2%	11%	13%	-1%	-5%	9%	1%
Karman Holdings	KRMN	-9%	-4%	-24%	-34%	-9%	-8%	-26%	-46%
L3Harris Technologies Inc	LHX	-1%	-13%	-15%	-10%	-1%	-17%	-17%	-23%
HII Inc	HII	-1%	3%	-7%	-13%	-1%	-1%	-9%	-25%
Lockheed Martin Corp	LMT	0%	-2%	6%	17%	0%	-6%	4%	5%
Mercury Systems Inc	MRCY	-2%	-14%	-8%	23%	-2%	-17%	-10%	11%
Northrop Grumman Corp	NOC	0%	0%	0%	-4%	0%	-3%	-2%	-16%
Weighted Average		-1%	-5%	0%	7%	-1%	-8%	-2%	-6%
Europe A&D									
Airbus Group NV	AIR.PA	1%	-2%	18%	3%	1%	-5%	12%	-8%
BAE Systems	BAES.L	-1%	5%	7%	23%	-1%	5%	4%	14%
Melrose Industries PLC	MRON.L	8%	7%	7%	-14%	7%	7%	4%	-23%
MTU Aero Engines AG	MTX	4%	4%	16%	3%	3%	0%	12%	-5%
Rheinmetall	RHM	2%	12%	-4%	-24%	1%	8%	-9%	-32%
Rolls-Royce PLC	RR.L	3%	10%	20%	35%	3%	9%	16%	26%
Safran SA	SAF	2%	5%	17%	17%	2%	2%	10%	6%
Weighted Average		2%	5%	15%	14%	1%	3%	10%	4%
Space									
Firefly Aerospace, Inc.	FLY	-9%	12%	-61%	0%	-9%	8%	-63%	-13%
MDA Ltd.	MDA	-4%	-3%	-36%	54%	-4%	-6%	-38%	42%
Rocket Lab Corp	RKLB	-9%	-1%	-56%	-5%	-9%	-5%	-58%	-17%
Intuitive Machines	LUNR	-12%	21%	-60%	-1%	-12%	17%	-62%	-13%
Voyager Technologies Inc.	VOYG	-10%	32%	-29%	32%	-10%	28%	-31%	20%
York Space Systems	YSS	-2%	-52%	-74%	-73%	-2%	-55%	-76%	-85%
Weighted Average		-9%	2%	-54%	2%	-9%	-1%	-56%	-10%
Government & Engineering Services									
Booz Allen Hamilton	BAH	-4%	4%	-8%	-12%	-4%	0%	-10%	-24%
CACI International Inc	CACI	-3%	26%	22%	17%	-4%	22%	20%	5%
Leidos Holdings Inc	LDOS	-3%	20%	5%	-24%	-3%	16%	3%	-36%
Parsons Corp.	PSN	-1%	-18%	-14%	-21%	-1%	-22%	-16%	-33%
Science Applications Int.	SAIC	0%	8%	25%	27%	0%	4%	23%	15%
Weighted Average		-3%	13%	8%	-5%	-3%	10%	6%	-17%

Source: Bloomberg

2026 YTD through 8/26/26

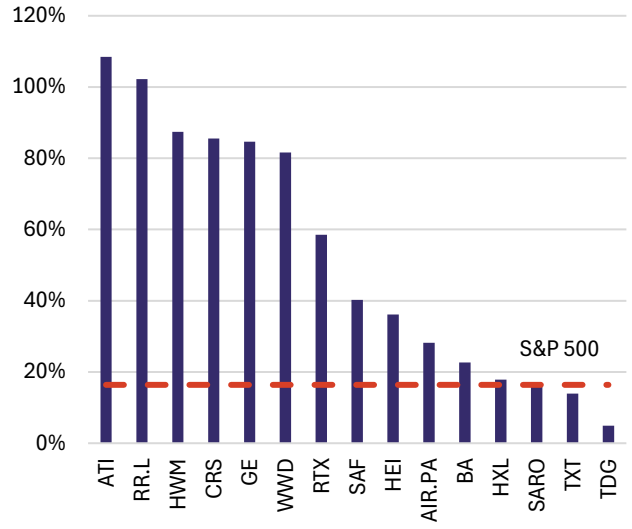
Exhibit 11 - YTD Absolute Performance - Aerospace



Source: Bloomberg

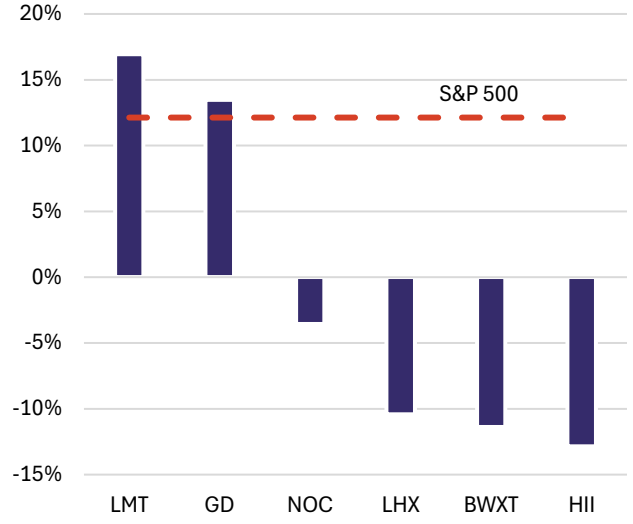
2026 YTD through 8/26/26

Exhibit 12 - 2025 Absolute Performance - Aerospace



Source: Bloomberg

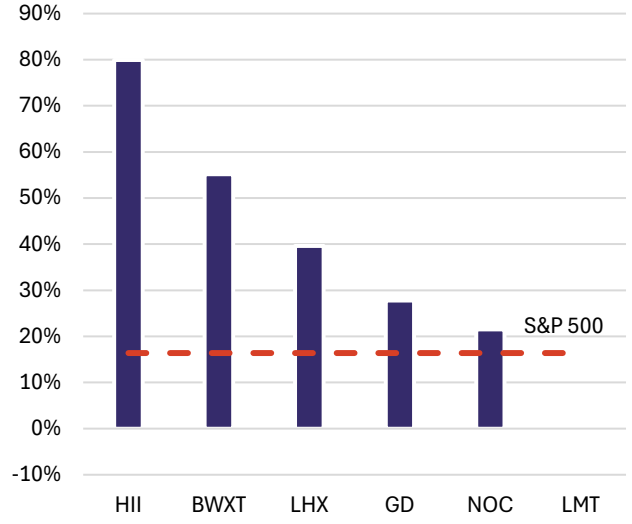
Exhibit 13 - YTD Absolute Performance - Defense



Source: Bloomberg

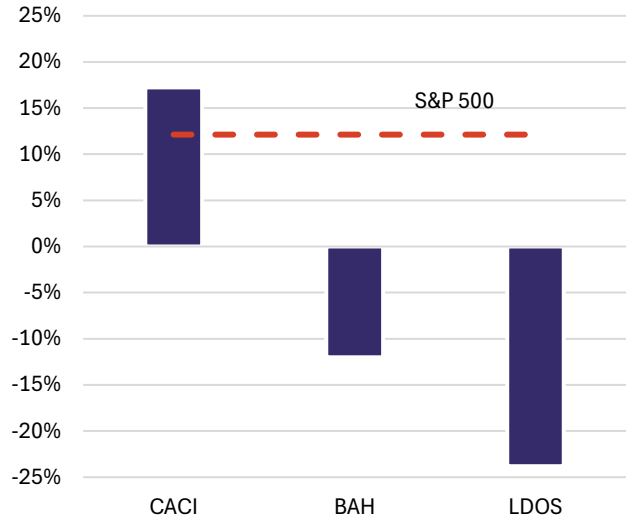
2026 YTD through 8/26/26

Exhibit 14 - 2025 Absolute Performance - Defense



Source: Bloomberg

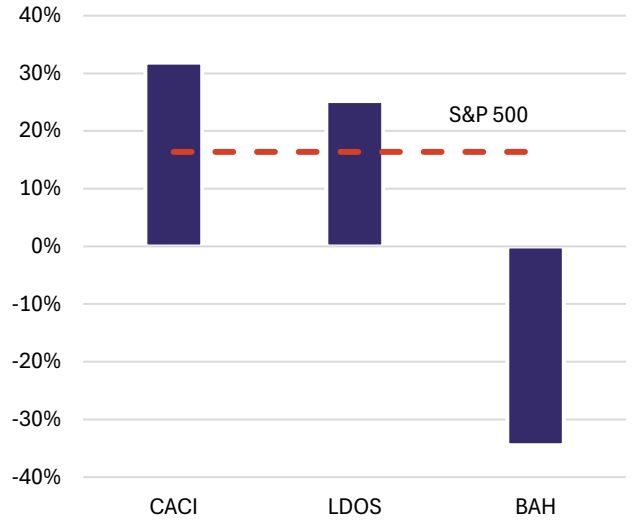
Exhibit 15 - YTD Absolute Performance - Government Services



Source: Bloomberg

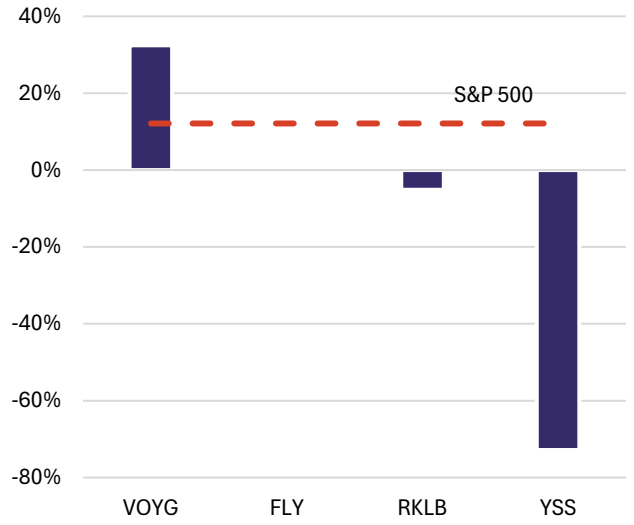
2026 YTD through 8/26/26

Exhibit 16 - 2025 Absolute Performance - Government Services



Source: Bloomberg

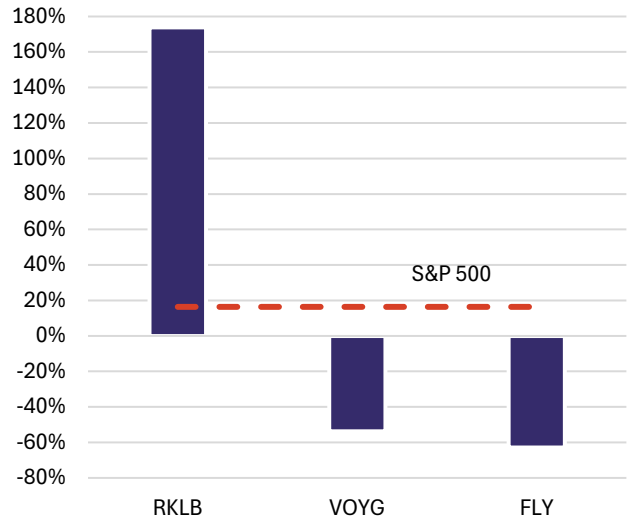
Exhibit 17 - YTD Absolute Performance - Space



Source: Bloomberg

2026 YTD through 8/26/26

Exhibit 18 - 2025 Absolute Performance - Space



Source: Bloomberg

Exhibit 19 - Total Return Heat Map

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
AIR.PA	53%	4%	35%	3%	58%	-31%	25%	0%	28%	13%	31%	5%
ARXS	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	39%
ATI	-67%	44%	52%	-10%	-5%	-19%	-5%	87%	52%	21%	109%	85%
BA	14%	11%	95%	12%	3%	-34%	-6%	-5%	37%	-32%	23%	-2%
BAH	19%	19%	8%	20%	60%	24%	-1%	26%	24%	2%	-33%	-10%
BWXT	48%	26%	54%	-36%	64%	-2%	-19%	23%	34%	47%	56%	-11%
CACI	8%	34%	6%	9%	74%	0%	8%	12%	8%	25%	32%	17%
CRS	-37%	22%	43%	-29%	42%	-39%	3%	30%	95%	142%	86%	54%
FLY	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	0%
GD	2%	28%	20%	-21%	15%	-13%	44%	22%	7%	4%	30%	15%
GE	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	65%	86%	15%
HEI	-10%	42%	53%	29%	48%	16%	9%	7%	17%	33%	36%	7%
HII	14%	47%	29%	-18%	34%	-30%	12%	26%	15%	-26%	84%	-12%
HONA	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	-26%
HWM	n/a	n/a	n/a	n/a	n/a	15%	12%	24%	38%	103%	88%	32%
HXL	13%	12%	21%	-6%	29%	-34%	7%	14%	26%	-14%	19%	29%
LDOS	34%	27%	29%	-17%	89%	9%	-14%	20%	5%	35%	27%	-23%
LHX	n/a	n/a	n/a	n/a	49%	-3%	15%	0%	4%	2%	42%	-10%
LMT	16%	18%	32%	-16%	53%	-6%	3%	40%	-4%	10%	2%	18%
NOC	30%	25%	34%	-19%	43%	-10%	29%	43%	-13%	2%	24%	-3%
RKLB	n/a	n/a	n/a	n/a	n/a	n/a	21%	-69%	47%	361%	174%	-5%
RR	-32%	18%	29%	-1%	-17%	-53%	10%	-24%	222%	90%	105%	36%
RTX	n/a	n/a	n/a	n/a	n/a	-51%	23%	20%	-14%	41%	61%	17%
SAF.PA	26%	10%	27%	25%	33%	-16%	-7%	9%	38%	34%	42%	19%
SARO	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	16%	-12%
TDG	16%	19%	20%	24%	84%	11%	3%	2%	67%	32%	12%	-9%
TXT	0%	16%	17%	-19%	-3%	9%	60%	-8%	14%	-5%	14%	-4%
VOYG	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	32%
WWD	2%	40%	12%	-2%	60%	3%	-9%	-11%	42%	23%	83%	15%
YSS	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	-73%

Source: Bloomberg

2026 YTD through 8/20/26

Exhibit 20 - Consensus 2026 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	8/26	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ARXS	n/a	n/a	$0.46	$0.58	$1.00	$1.00	n/a	n/a	116%	72%	0%
ATI	$3.95	$3.69	$4.42	$4.45	$4.94	$4.94	25%	34%	12%	11%	0%
BA	$7.82	$3.40	-$0.37	-$0.30	-$0.83	-$0.83	-111%	-124%	-123%	-177%	0%
CRS	$7.80	$9.66	$10.49	$10.59	$10.59	$10.59	36%	10%	1%	0%	0%
GE	$6.17	$6.91	$7.54	$7.89	$7.89	$7.89	28%	14%	5%	0%	0%
HEI	$4.89	$5.24	$5.65	$6.10	$6.12	$6.12	25%	17%	8%	0%	0%
HONA	n/a	n/a	n/a	$8.73	$7.70	$7.70	n/a	n/a	n/a	-12%	0%
HWM	$3.75	$4.33	$4.99	$5.06	$5.31	$5.30	41%	22%	6%	5%	0%
HXL	$3.38	$2.51	$2.30	$2.30	$2.39	$2.39	-29%	-5%	4%	4%	0%
RTX	$6.90	$6.63	$6.92	$7.16	$7.25	$7.25	5%	9%	5%	1%	0%
SARO	n/a	$1.20	$1.45	$1.43	$1.51	$1.55	n/a	29%	6%	8%	2%
TDG	$45.29	$42.71	$39.87	$40.04	$41.11	$41.11	-9%	-4%	3%	3%	0%
TXT	$7.66	$6.93	$6.44	$6.44	$6.46	$6.46	-16%	-7%	0%	0%	0%
WWD	$7.10	$7.86	$9.33	$9.34	$9.47	$9.47	33%	20%	1%	1%	0%
Median							25%	12%	5%	1%	0%
Defense											
BWXT	$3.88	$4.09	$4.72	$4.71	$4.72	$4.72	22%	15%	0%	0%	0%
GD	$17.88	$17.02	$16.59	$16.72	$16.97	$16.97	-5%	0%	2%	2%	0%
HII	$20.30	$16.58	$17.47	$17.38	$18.58	$18.58	-8%	12%	6%	7%	0%
LMT	$30.19	$29.13	$29.88	$30.34	$30.49	$30.49	1%	5%	2%	1%	0%
NOC	$29.34	$28.88	$27.93	$28.88	$28.98	$28.98	-1%	0%	4%	0%	0%
Median							-1%	5%	2%	1%	0%
Europe A&D											
AIR.PA	€ 8.98	€ 7.99	€ 7.27	€ 7.28	€ 7.33	€ 7.33	-18%	-8%	1%	1%	0%
RR.L	£0.24	£0.32	£0.37	£0.37	£0.43	£0.43	82%	34%	17%	16%	0%
SAF	€ 9.92	€ 10.35	€ 10.06	€ 10.07	€ 10.50	€ 10.50	6%	1%	4%	4%	0%
Median							6%	1%	4%	4%	0%
Services											
BAH	$6.74	$6.40	$6.08	$6.08	$6.08	$6.08	-10%	-5%	0%	0%	0%
CACI	$25.53	$27.84	$28.21	$28.15	$28.15	$28.15	10%	1%	0%	0%	0%
LDOS	$10.44	$11.82	$12.34	$12.34	$12.39	$12.39	19%	5%	0%	0%	0%
Median							10%	1%	0%	0%	0%
Space											
FLY	n/a	n/a	-$1.97	-$2.09	-$2.10	-$2.10	n/a	n/a	-7%	0%	0%
VOYG	n/a	-$1.36	-$3.09	-$3.16	-$3.17	-$3.14	n/a	131%	-2%	0%	-1%
YSS	n/a	n/a	-$0.62	-$0.85	-$1.80	-$1.87	n/a	n/a	-200%	-121%	-4%
Median							n/a	n/a	-7%	0%	-1%

Source: Bloomberg

Exhibit 21 - Consensus 2027 EPS Estimate Revisions Over Time

							% Increase/(Decrease) in Current Estimate Since				
	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk	~~8/26~~	-2 Yr	-1 Yr	-3 Mo	-1 Mo	-1 Wk
Aero											
ARXS	n/a	n/a	$0.70	$0.86	$1.24	$1.24	n/a	n/a	77%	45%	0%
ATI	$4.73	$4.40	$5.39	$5.44	$6.09	$6.09	29%	38%	13%	12%	0%
BA	$10.69	$6.70	$4.24	$4.26	$3.97	$3.97	-63%	-41%	-6%	-7%	0%
CRS	$9.03	$11.13	$12.47	$12.92	$13.18	$13.18	46%	18%	6%	2%	0%
GE	$6.82	$7.97	$8.63	$9.08	$9.06	$9.06	33%	14%	5%	0%	0%
HEI	$5.55	$5.91	$6.33	$6.90	$6.93	$7.04	27%	19%	11%	2%	2%
HONA	n/a	n/a	n/a	$9.91	$8.89	$8.89	n/a	n/a	n/a	-10%	0%
HWM	$4.26	$5.06	$5.97	$6.06	$6.46	$6.43	51%	27%	8%	6%	0%
HXL	$3.87	$3.20	$3.05	$3.07	$3.27	$3.27	-15%	2%	7%	7%	0%
RTX	$7.47	$7.42	$7.71	$7.91	$7.89	$7.89	6%	6%	2%	0%	0%
SARO	n/a	$1.50	$1.77	$1.70	$1.71	$1.71	n/a	14%	-3%	1%	0%
TDG	$48.37	$49.18	$47.10	$47.00	$48.48	$48.48	0%	-1%	3%	3%	0%
TXT	$8.37	$7.65	$7.25	$7.24	$7.27	$7.27	-13%	-5%	0%	0%	0%
WWD	$7.45	$8.93	$10.54	$10.59	$10.75	$10.75	44%	20%	2%	2%	0%
Median							27%	14%	5%	2%	0%
Defense											
BWXT	$4.36	$4.63	$5.24	$5.24	$5.28	$5.28	21%	14%	1%	1%	0%
GD	$19.44	$18.46	$18.10	$18.27	$18.61	$18.61	-4%	1%	3%	2%	0%
HII	$22.81	$19.09	$20.23	$19.69	$20.99	$20.99	-8%	10%	4%	7%	0%
LMT	$32.07	$31.48	$31.97	$32.53	$32.71	$32.71	2%	4%	2%	1%	0%
NOC	$31.33	$31.43	$30.14	$30.31	$30.37	$30.37	-3%	-3%	1%	0%	0%
Median							-3%	4%	2%	1%	0%
Europe A&D											
AIR.PA	€ 10.65	€ 9.42	€ 8.57	€ 8.53	€ 8.74	€ 8.76	-18%	-7%	2%	3%	0%
RR.L	£0.27	£0.36	£0.44	£0.45	£0.49	£0.49	85%	35%	12%	9%	0%
SAF	€ 10.78	€ 11.83	€ 12.21	€ 12.38	€ 13.01	€ 13.00	21%	10%	6%	5%	0%
Median							21%	10%	6%	5%	0%
Services											
BAH	$7.38	$7.07	$6.28	$6.31	$6.38	$6.43	-13%	-9%	2%	2%	1%
CACI	$28.23	$30.18	$31.41	$30.96	$33.20	$33.20	18%	10%	6%	7%	0%
LDOS	$4.50	$12.48	$13.18	$13.08	$12.78	$12.78	184%	2%	-3%	-2%	0%
Median							18%	2%	2%	2%	0%
Space											
FLY	n/a	n/a	-$1.28	-$1.41	-$1.56	-$1.56	n/a	n/a	-21%	-11%	0%
VOYG	n/a	-$1.04	-$1.32	-$1.38	-$1.55	-$1.55	n/a	-49%	-17%	-12%	0%
YSS	n/a	n/a	$0.58	$0.57	-$0.42	-$0.51	n/a	n/a	-188%	-189%	-21%
Median							n/a	n/a	-21%	-12%	0%

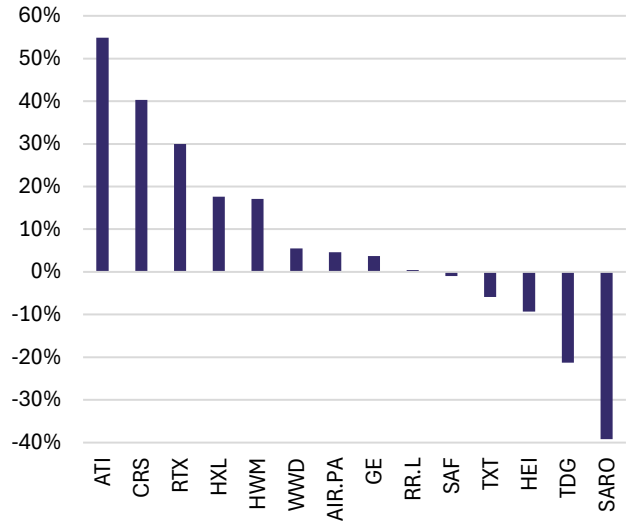
Source: Bloomberg

Exhibit 22 - Valuation vs Historical (P/E)

Company	Ticker	Current	Absolute			Current	Relative to S&P		
			3YR Avg	5YR Avg	10YR Avg		3YR Avg	5YR Avg	10YR Avg
Aero									
Airbus Group NV	AIR.PA	25x	24x	23x	24x	22%	9%	10%	21%
ATI Inc	ATI	38x	25x	23x	35x	88%	13%	12%	78%
Boeing Co	BA	171x	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Carpenter Technology	CRS	36x	26x	26x	22x	79%	19%	28%	11%
General Electric Co	GE	43x	41x	31x	22x	110%	89%	n/a	n/a
HEICO Corp	HEI	51x	56x	55x	50x	152%	160%	166%	151%
Howmet Aerospace	HWM	46x	39x	33x	26x	127%	81%	61%	29%
Hexcel Corp	HXL	36x	30x	35x	40x	77%	40%	72%	100%
Rolls-Royce PLC	RR.L	35x	35x	37x	51x	72%	59%	80%	157%
RTX Corp	RTX	29x	22x	21x	19x	42%	2%	1%	-2%
Safran SA	SAF	29x	29x	28x	28x	42%	34%	35%	41%
StandardAero Inc	SARO	16x	26x	26x	26x	-21%	22%	28%	33%
TransDigm Group	TDG	26x	33x	33x	31x	27%	51%	58%	55%
Textron	TXT	12x	13x	14x	16x	-39%	-39%	-30%	-22%
Woodward	WWD	34x	32x	30x	27x	66%	47%	46%	34%
Average		**42x**	**31x**	**30x**	**30x**	**60%**	**42%**	**44%**	**53%**
Defense									
BWX Technologies	BWXT	30x	36x	29x	25x	50%	64%	39%	28%
General Dynamics Corp	GD	22x	19x	18x	17x	8%	-12%	-11%	-13%
HII Inc	HII	15x	17x	16x	15x	-25%	-23%	-22%	-23%
L3Harris Technologies Inc	LHX	21x	20x	19x	18x	2%	-7%	-10%	-8%
Lockheed Martin Corp	LMT	18x	18x	17x	17x	-11%	-18%	-18%	-13%
Northrop Grumman	NOC	19x	19x	19x	18x	-7%	-10%	-8%	-9%
Average		**21x**	**21x**	**20x**	**19x**	**3%**	**-1%**	**-5%**	**-6%**
Government Services									
Booz Allen Hamilton	BAH	12x	19x	20x	20x	-42%	-11%	-4%	1%
CACI International Inc	CACI	19x	18x	17x	17x	-6%	-18%	-19%	-14%
Leidos Inc	LDOS	11x	15x	14x	15x	-45%	-33%	-30%	-24%
Average		**14x**	**17x**	**17x**	**17x**	**-31%**	**-21%**	**-17%**	**-12%**

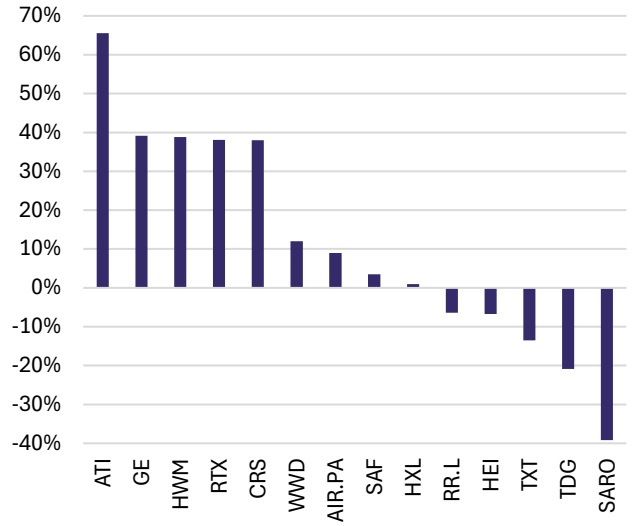
Source: Bloomberg

Exhibit 23 - Current Premium/Discount to 3-Yr Average (P/E) - Aerospace



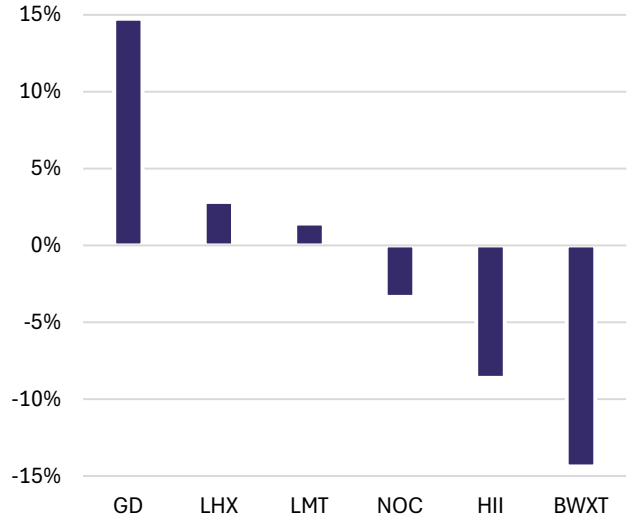
Source: Bloomberg

Exhibit 24 - Current Premium/Discount to 5-Yr Average (P/E) - Aerospace



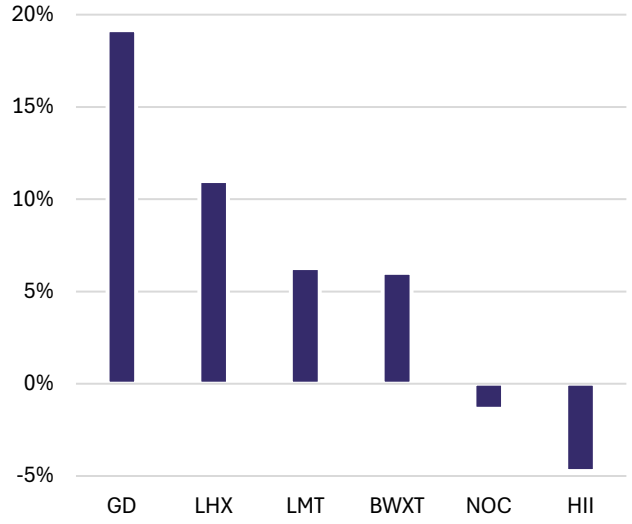
Source: Bloomberg

Exhibit 25 - Current Premium/Discount to 3-Yr Average (P/E) - Defense



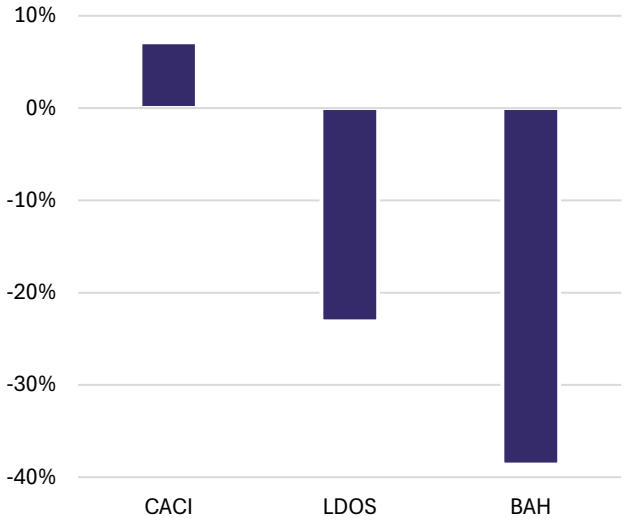
Source: Bloomberg

Exhibit 26 - Current Premium/Discount to 5-Yr Average (P/E) - Defense



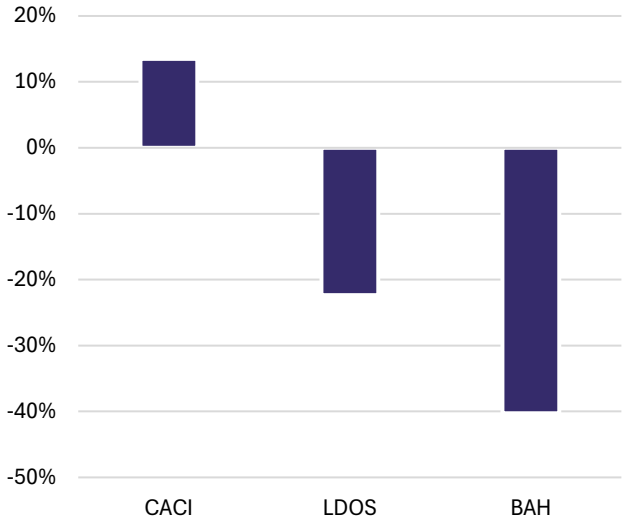
Source: Bloomberg

Exhibit 27 - Current Premium/Discount to 3-Yr Average (P/E) - Government Services



Source: Bloomberg

Exhibit 28 - Current Premium/Discount to 5-Yr Average (P/E) - Government Services



Source: Bloomberg

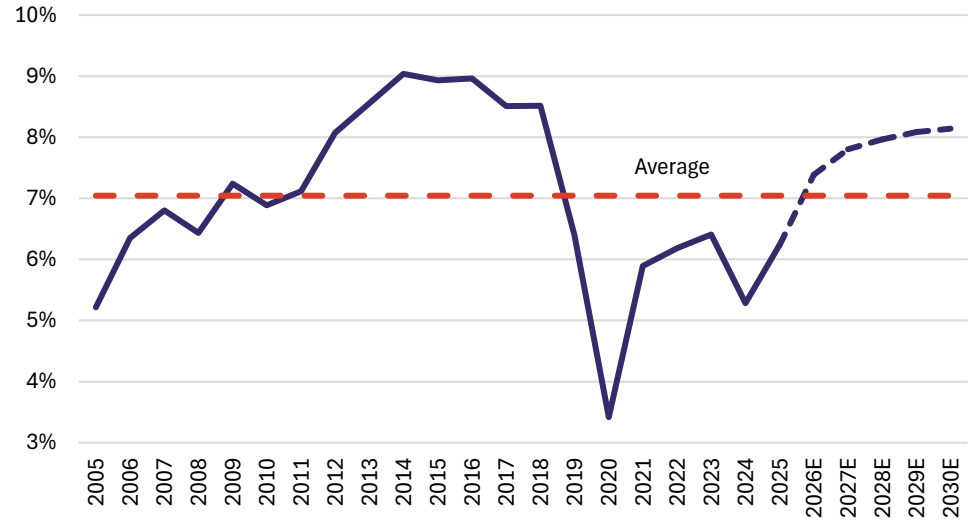
Aerospace

Exhibit 29 - Commercial Aero Delivery Forecast

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
737 NG	70	16	18	13	9	4	8	1	0	0	0	0
737 MAX	57	27	245	374	387	261	439	512	575	625	675	725
747	7	5	7	5	1	0	0	0	0	0	0	0
767	43	30	32	33	32	18	30	32	15	15	15	15
777	45	26	24	24	26	14	35	33	36	36	45	50
787	158	53	14	31	73	51	88	95	120	130	140	150
Boeing	380	157	340	480	528	348	600	673	746	806	875	940
A220	48	38	50	53	68	75	93	100	110	120	130	140
A320 Family	91	15	24	0	0	0	0	0	0	0	0	0
A320neo Family	551	431	459	516	571	602	607	661	715	750	775	800
A330	53	19	18	32	32	32	36	38	45	50	50	50
A340	0	0	0	0	0	0	0	0	0	0	0	0
A350	112	59	55	60	64	57	57	71	85	100	115	130
A380	8	4	5	0	0	0	0	0	0	0	0	0
Airbus	863	566	611	661	735	766	793	870	955	1,020	1,070	1,120
Total	**1,243**	**723**	**951**	**1,141**	**1,263**	**1,114**	**1,393**	**1,543**	**1,701**	**1,826**	**1,945**	**2,060**
YOY Growth	*-23%*	*-42%*	*32%*	*20%*	*11%*	*-12%*	*25%*	*11%*	*10%*	*7%*	*7%*	*6%*
Narrowbodies	**817**	**527**	**796**	**956**	**1,035**	**942**	**1,147**	**1,274**	**1,400**	**1,495**	**1,580**	**1,665**
YOY Growth	*-33%*	*-35%*	*51%*	*20%*	*8%*	*-9%*	*22%*	*11%*	*10%*	*7%*	*6%*	*5%*
Widebodies	**426**	**196**	**155**	**185**	**228**	**172**	**246**	**269**	**301**	**331**	**365**	**395**
YOY Growth	*12%*	*-54%*	*-21%*	*19%*	*23%*	*-25%*	*43%*	*9%*	*12%*	*10%*	*10%*	*8%*

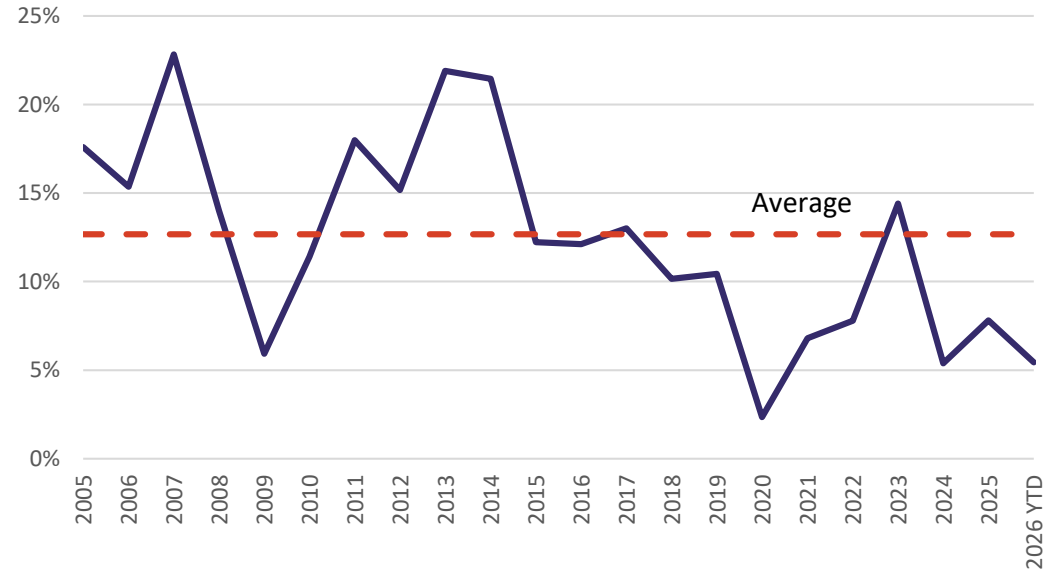
Source: Company reports and Wells Fargo Securities, LLC estimates

Exhibit 30 - Commercial Aircraft Deliveries as % of Installed Base



Source: Cirium and Wells Fargo Securities, LLC

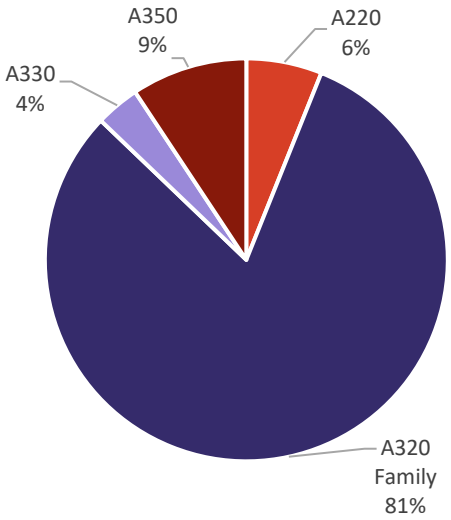
Exhibit 31 - Commercial Aircraft Orders as % of Installed Base



Source: Cirium

2026 YTD through 8/26/26

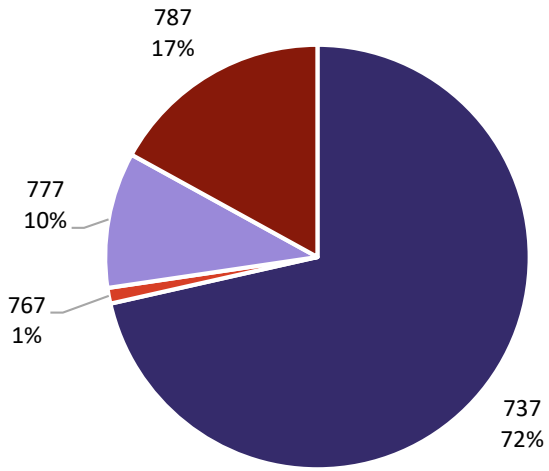
Exhibit 32 - Airbus Backlog by Aircraft (~9,300)



Source: Cirium

As of 8/26/26

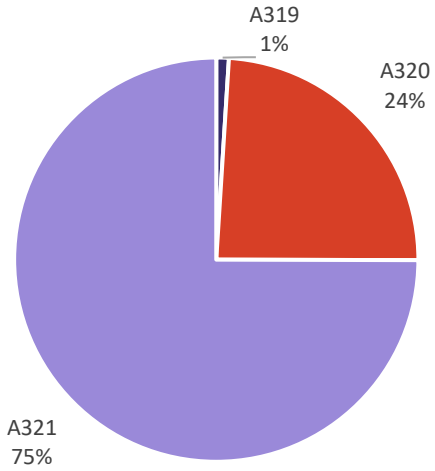
Exhibit 33 - BA Backlog by Aircraft (~6,900)



Source: Cirium

As of 8/26/26

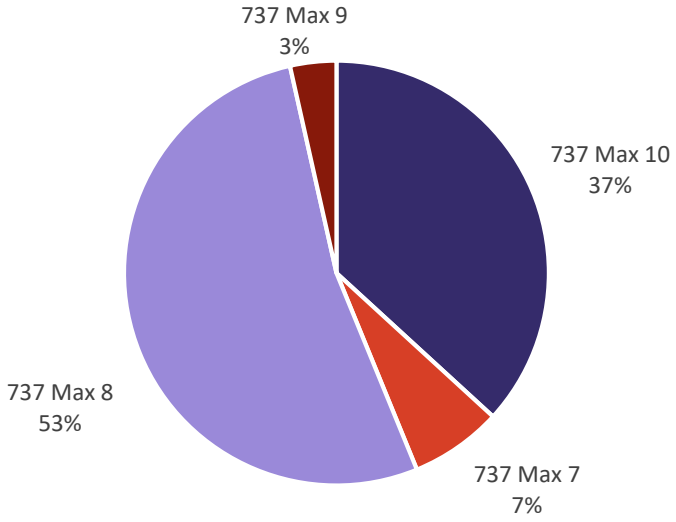
Exhibit 34 - A320 Family Backlog Breakout (~7,600)



Source: Cirium

As of 8/26/26

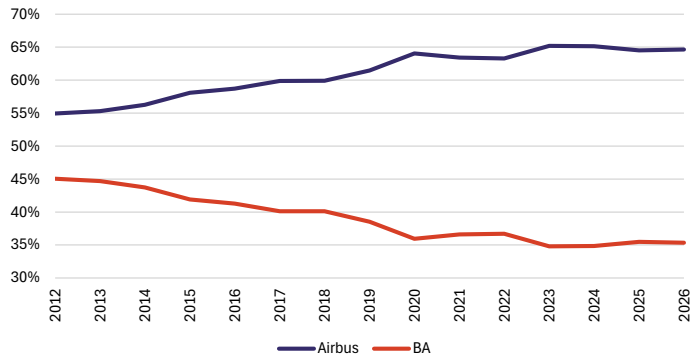
Exhibit 35 - 737 MAX Backlog Breakout (~4,900)



Source: Cirium

As of 8/26/26

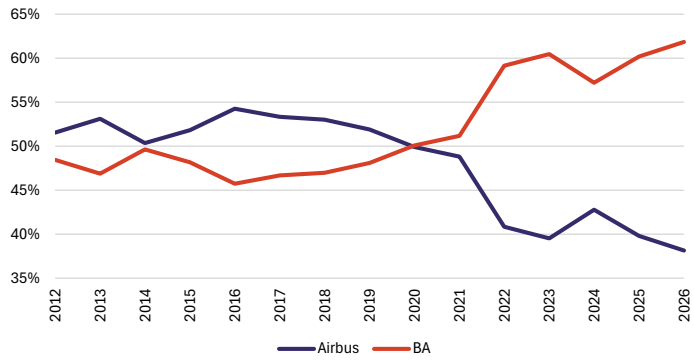
Exhibit 36 - Narrowbody Delivery Share, 2012-Present



Source: Cirium

Seats basis.

Exhibit 37 - Widebody Delivery Share, 2012-Present



Source: Cirium

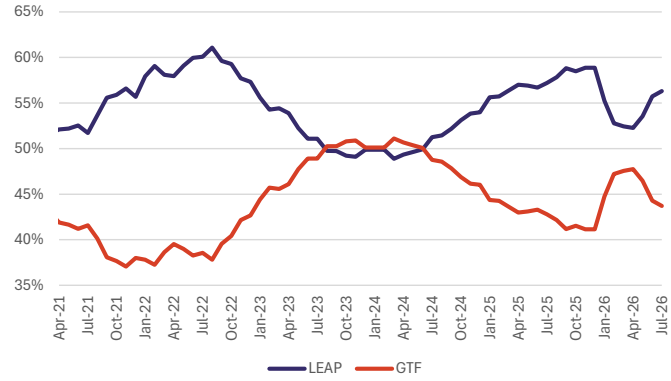
Seats basis.

Exhibit 38 - OE Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
ATI	-45%	-7%	96%	38%	8%	25%	14%	15%	5%	5%	9%
GE	-30%	-12%	4%	21%	11%	10%	35%	29%	8%	23%	27%
Honeywell Aerospace	-36%	-7%	22%	15%	9%	-7%	-12%	2%	5%	3%	6%
Howmet	-38%	-14%	29%	24%	20%	9%	8%	15%	13%	20%	28%
Hexcel	-50%	1%	37%	18%	12%	-6%	-9%	-7%	8%	19%	18%
Collins Aerospace Systems	-36%	-9%	16%	18%	3%	2%	1%	16%	9%	15%	26%
Pratt & Whitney	-28%	11%	24%	24%	34%	3%	15%	5%	28%	-1%	-8%
Safran	-42%	-5%	25%	34%	15%	9%	7%	28%	-11%	24%	27%
Spirit	-62%	22%	30%	20%	2%	-14%	9%	n/a	n/a	n/a	n/a
TransDigm	-21%	-6%	24%	23%	13%	0%	-7%	7%	17%	12%	17%
Woodward	-48%	31%	31%	26%	6%	-9%	-8%	0%	22%	30%	34%
Average	-40%	0%	31%	24%	12%	2%	5%	11%	10%	15%	18%

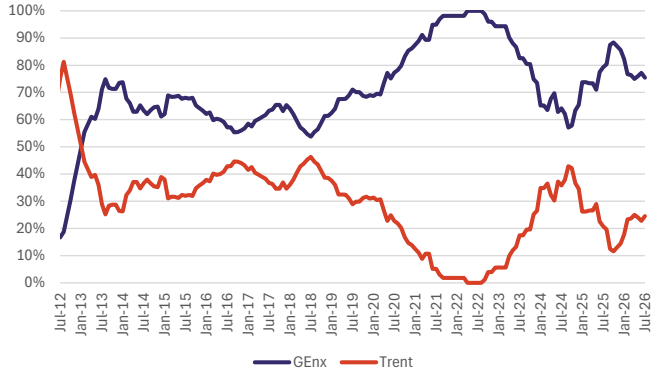
Source: Company Reports

Exhibit 39 - R12M A320 Family Engine Delivery Share (LEAP vs GTF)



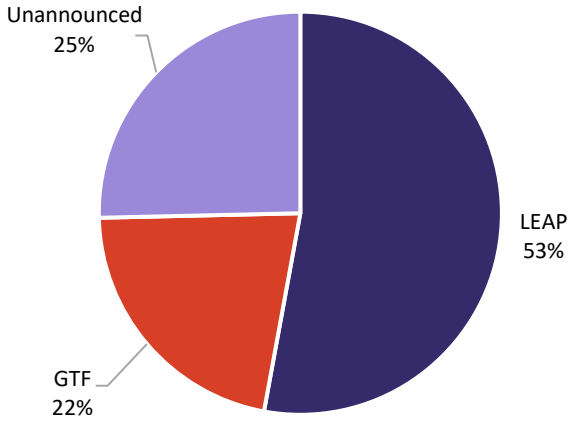
Source: Cirium

Exhibit 40 - R12M 787 Engine Delivery Share (GEnx vs Trent)



Source: Cirium

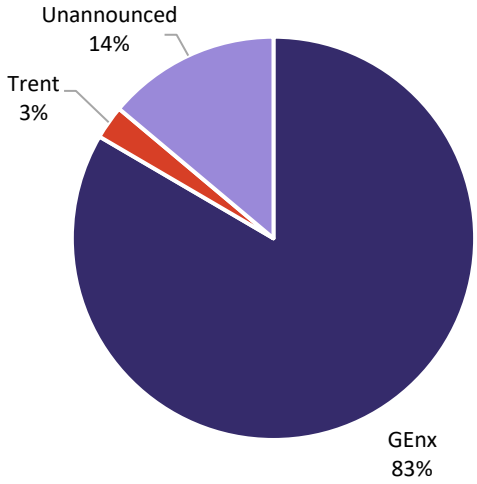
Exhibit 41 - A320 Family Backlog by Engine



Source: Cirium

As of 8/26/26

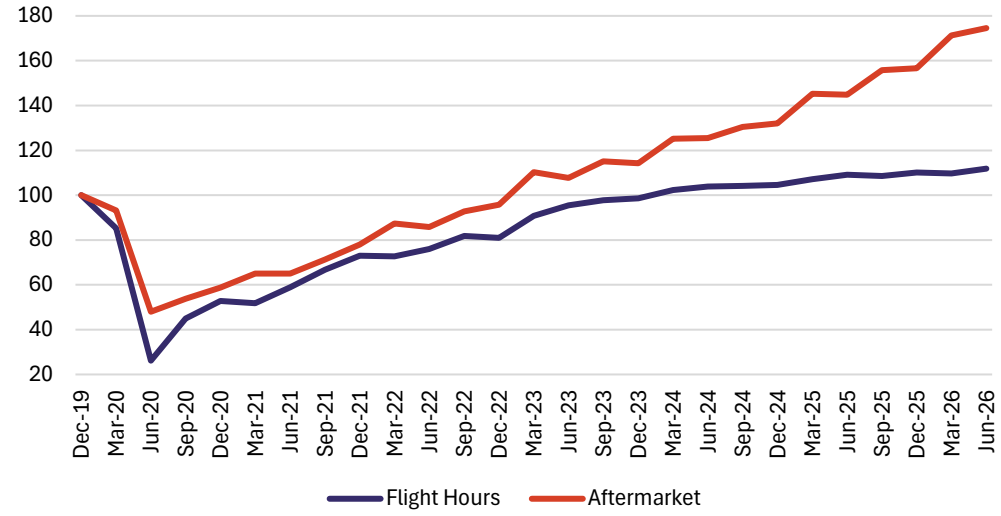
Exhibit 42 - 787 Backlog by Engine



Source: Cirium

As of 8/26/26

Exhibit 43 - Aftermarket vs Flight Hours, Indexed to 100 in 2019



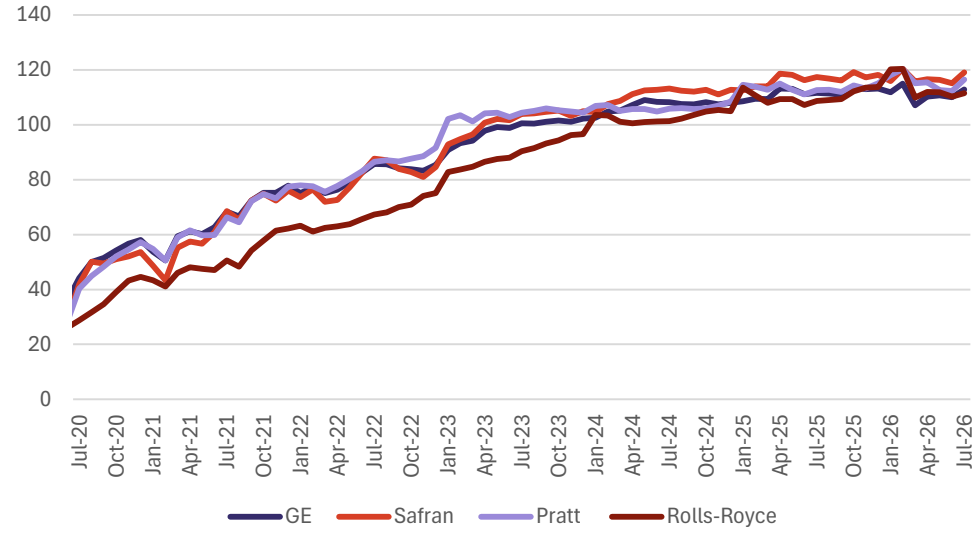
Source: Company reports

Exhibit 44 - Annual YoY Flight Hour Growth by Engine Manufacturer

	2021	2022	2023	2024	2025	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	2026 YTD
GE	20%	24%	21%	9%	4%	3%	5%	-2%	-3%	-2%	-1%	1%	0%
Safran	24%	28%	26%	10%	5%	3%	6%	2%	-2%	-2%	-1%	1%	1%
Pratt	25%	29%	25%	2%	7%	3%	6%	2%	0%	0%	1%	3%	2%
Rolls-Royce	13%	32%	34%	15%	7%	6%	9%	2%	2%	2%	3%	3%	4%

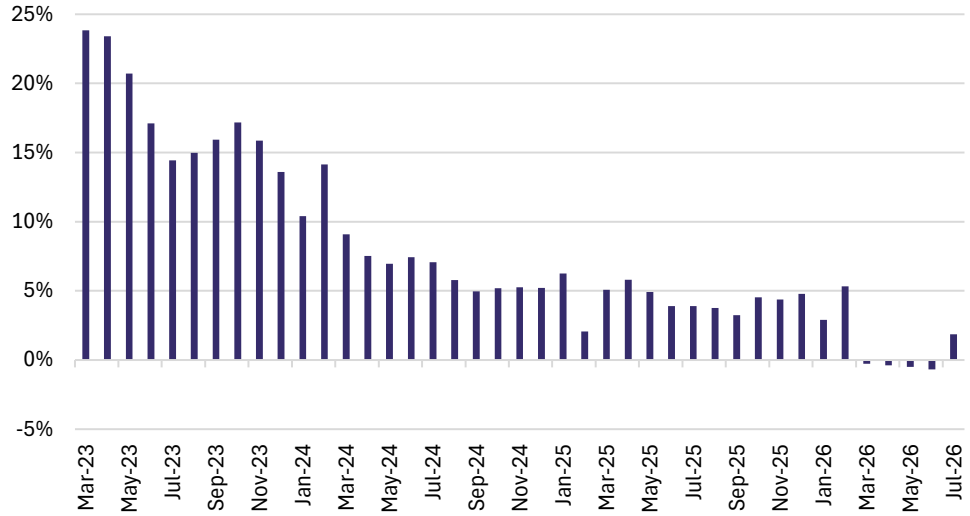
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 45 - Total Flight Hours by Engine Manufacturer (Indexed to 100 in Same Month 2019)



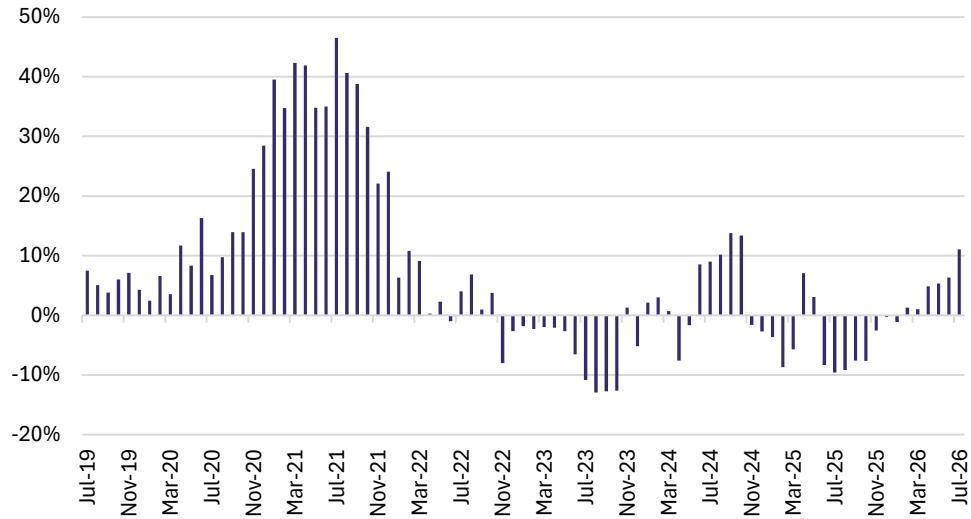
Source: Cirium and Wells Fargo Securities, LLC

Exhibit 46 - Global Passenger Fleet Flight Hours YoY % Change



Source: Diio

Exhibit 47 - Global Freighter Fleet Flight Hours YoY % Change, 2019-Present



Source: Cirium

Exhibit 48 - Flight Schedule YoY Growth by Region

	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26
Asia	0%	5%	5%	0%	-3%	-4%	0%	2%	4%	3%
Europe	3%	2%	3%	1%	2%	2%	3%	3%	2%	1%
Middle East	11%	8%	-17%	-43%	-28%	-19%	-8%	-8%	-6%	-3%
North America	1%	1%	1%	2%	1%	-1%	0%	1%	1%	2%
Latin America	4%	4%	8%	5%	4%	3%	6%	6%	9%	10%
Total Global	**1.7%**	**3.4%**	**2.9%**	**-0.6%**	**-1.1%**	**-1.4%**	**1.0%**	**1.6%**	**2.6%**	**2.7%**

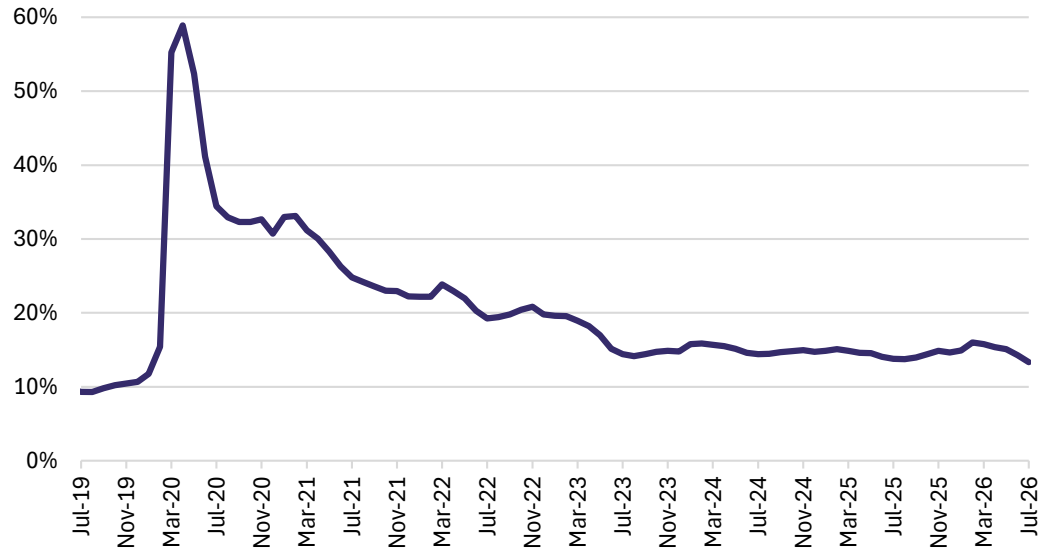
Source: Cirium

Exhibit 49 - Aftermarket Growth by Company

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Boeing	-32%	9%	27%	15%	6%	-1%	3%	7%	0%	2%	6%
GE	-46%	23%	45%	30%	12%	17%	29%	28%	31%	39%	26%
HEICO	-34%	20%	24%	18%	13%	14%	13%	16%	12%	19%	12%
Honeywell Aerospace	-33%	9%	23%	22%	15%	15%	7%	19%	13%	3%	8%
MTU Aero Engines	-30%	14%	17%	17%	13%	15%	8%	13%	14%	8%	37%
Pratt & Whitney	-33%	23%	24%	20%	14%	28%	19%	23%	21%	19%	25%
Collins Aerospace Systems	-36%	17%	28%	27%	12%	13%	13%	13%	13%	7%	10%
Safran	-43%	7%	29%	33%	25%	21%	22%	21%	21%	32%	28%
Transdigm	-38%	21%	39%	30%	9%	13%	6%	11%	7%	14%	17%
Rolls Royce	-43%	6%	26%	25%	27%	19%	19%	23%	23%	26%	26%
Woodward	-34%	-4%	41%	21%	17%	23%	30%	39%	50%	36%	24%
Average	-37%	13%	29%	23%	15%	16%	15%	19%	19%	19%	20%

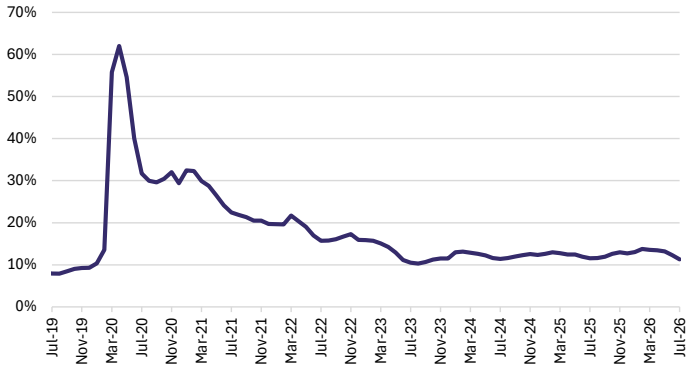
Source: Company Reports

Exhibit 50 - Parked Fleet as Percentage of Installed Base, 2019-Present



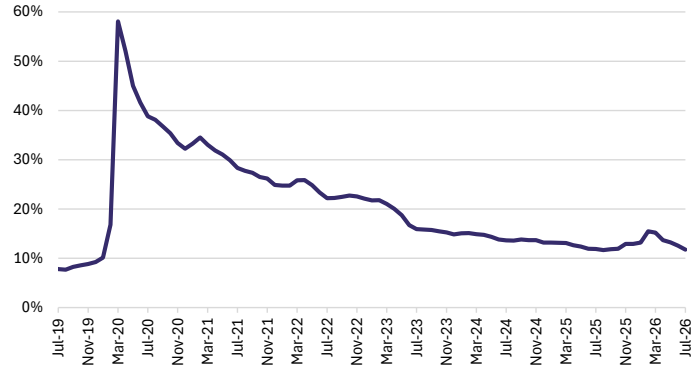
Source: Cirium

Exhibit 51 - NB Parked Fleet as Percentage of Installed Base, 2019-Present



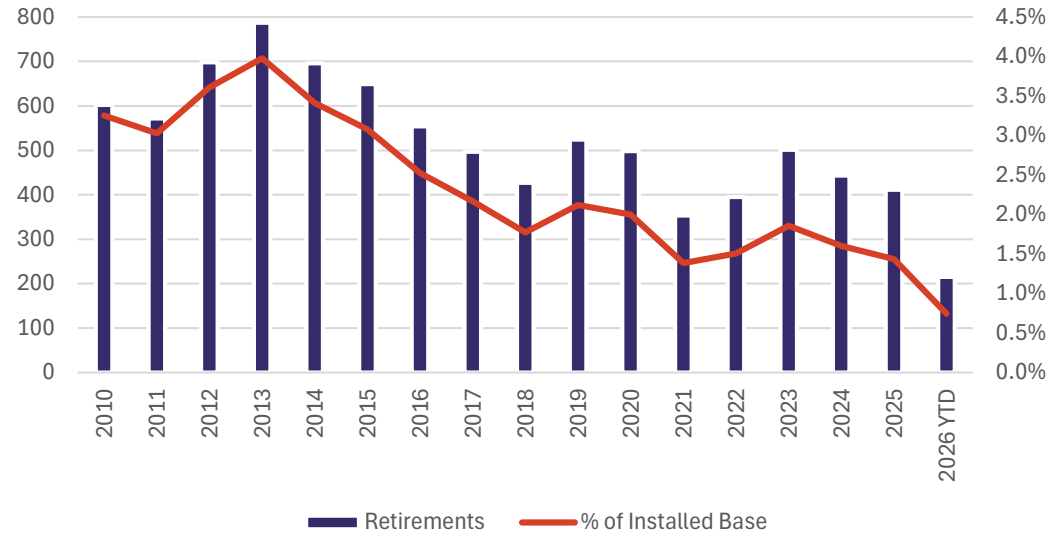
Source: Cirium

Exhibit 52 - WB Parked Fleet as Percentage of Installed Base, 2019-Present



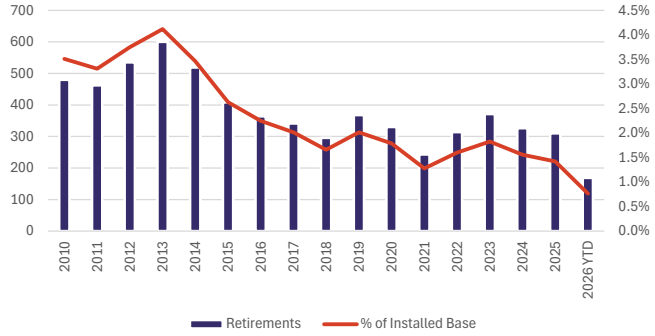
Source: Cirium

Exhibit 53 - Aircraft Retirements Over Time



Source: Cirium

Exhibit 54 - NB Aircraft Retirements Over Time



Source: Cirium

Exhibit 55 - WB Aircraft Retirements Over Time



Source: Cirium

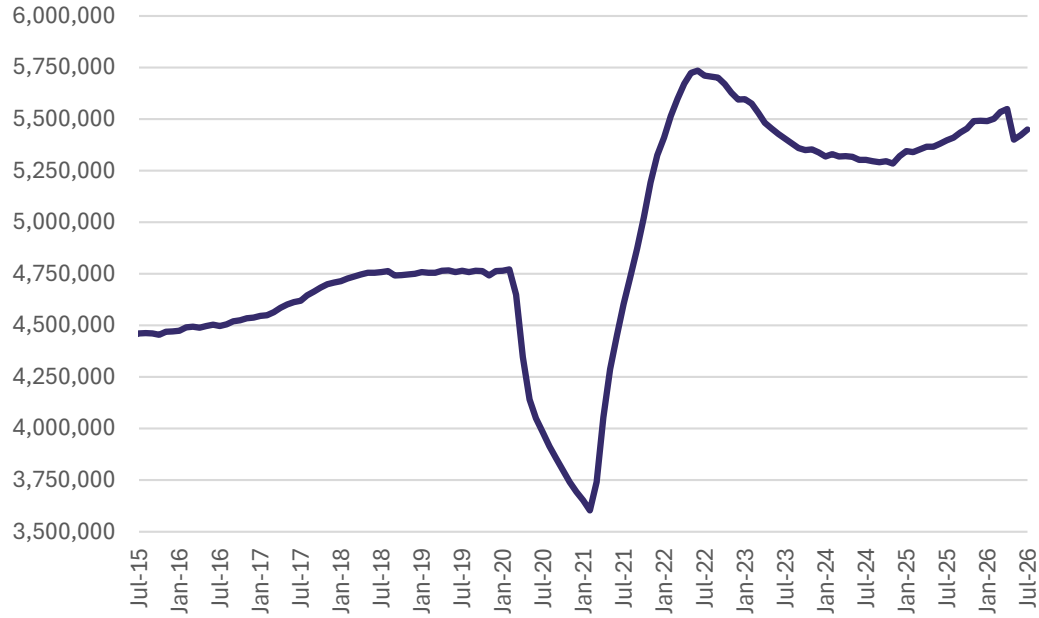
Business Jets

Exhibit 56 - Business Jet Delivery Forecast

	Cabin Class	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Bombardier													
Learjet 70/75	Midsize	12	11	10	3	0	0	0	0	0	0	0	0
Challenger 300/350	Midsize	56	32	35	39	52	59	64	60	60	60	60	60
Challenger 605/650	Midsize	20	12	9	11	11	13	13	10	10	10	10	10
Global 5000/6000	Large	43	24	27	23	22	34	37	40	40	40	40	40
Global 7500/8000	Large	11	35	39	47	53	40	41	45	45	45	45	45
Bombardier Total		142	114	120	123	138	146	155	155	155	155	155	155
Dassault													
Falcon 2000	Midsize	18	12	14	13	10	13	11	12	12	12	12	12
Falcon 900	Large	4	5	3	2	5	2	2	2	2	2	2	2
Falcon 6X	Large	0	0	0	0	0	6	13	18	18	18	18	18
Falcon 7X	Large	5	5	3	4	3	0	0	0	0	0	0	0
Falcon 8X	Large	13	12	10	13	8	10	11	8	8	8	8	8
Dassault Total		40	34	30	32	26	31	37	40	40	40	40	40
Gulfstream													
G200/G280	Midsize	33	22	16	24	22	18	22	23	10	20	20	20
G300/G350	Large	0	0	0	0	0	0	0	0	0	0	0	0
GIV/G400/G450	Large	0	0	0	0	0	0	0	0	0	0	0	0
G500	Large	29	26	29	26	22	25	27	31	30	30	30	30
GV/G550	Large	17	19	8	0	0	0	0	0	0	0	0	0
G600	Large	9	27	29	30	34	32	28	32	30	30	30	30
G650/G700/800	Large	59	33	37	40	33	61	81	77	90	90	90	90
Gulfstream Total		147	127	119	120	111	136	158	163	160	170	170	170
Cessna													
M2	Small	34	24	34	33	25	22	22	23	24	31	32	32
CJ3	Small	37	21	26	29	30	24	31	31	32	32	32	32
CJ4	Small	33	23	27	29	31	26	30	25	27	32	32	32
XLS	Midsize	22	13	19	19	17	15	13	0	0	0	0	0
Latitude	Midsize	58	26	34	42	41	40	47	41	45	50	50	50
Sovereign	Midsize	8	6	3	0	0	1	0	0	0	0	0	0
Longitude	Midsize	13	18	24	26	24	24	25	29	30	30	30	32
Hemisphere	Midsize	0	0	0	0	0	0	0	0	0	0	0	0
X	Midsize	1	1	0	0	0	0	0	0	0	0	0	0
Citation Ascend	Midsize	0	0	0	0	0	0	3	26	37	40	44	47
Cessna Total		206	132	167	178	168	152	171	175	195	215	220	225
Embraer													
Phenom 100	VLJ	11	6	6	7	11	10	14	15	15	15	15	15
Phenom 300	Small	51	50	56	59	63	65	72	75	75	75	75	75
Legacy 450	Midsize	15	0	0	0	0	0	0	0	0	0	0	0
Praetor 500	Midsize	3	10	14	15	20	28	39	40	40	40	40	40
Legacy 500	Midsize	11	1	0	0	0	0	0	0	0	0	0	0
Praetor 600	Midsize	13	18	17	21	21	27	30	35	35	35	35	35
Legacy 600/650	Large	5	1	0	0	0	0	0	0	0	0	0	0
Lineage 1000	Large	0	0	0	0	0	0	0	0	0	0	0	0
Embraer Total		109	86	93	102	115	130	155	165	165	165	165	165
Other - Pilatus PC-24	Small	50	41	47	39	48	48	48	48	48	48	48	48
Other - Hondajet HA-420	VLJ	36	31	35	17	22	22	22	22	22	22	22	22
VLJ		47	37	41	24	33	32	36	37	37	37	37	37
Small		205	159	190	189	197	185	203	202	206	218	219	219
Midsize		283	182	195	213	218	238	267	276	279	297	301	306
Large		195	187	185	185	180	210	240	253	263	263	263	263
Total ex VLJ		683	528	570	587	595	633	710	731	748	778	783	788
Growth (YoY)		*13%*	*-23%*	*8%*	*3%*	*1%*	*6%*	*12%*	*3%*	*2%*	*4%*	*1%*	*1%*

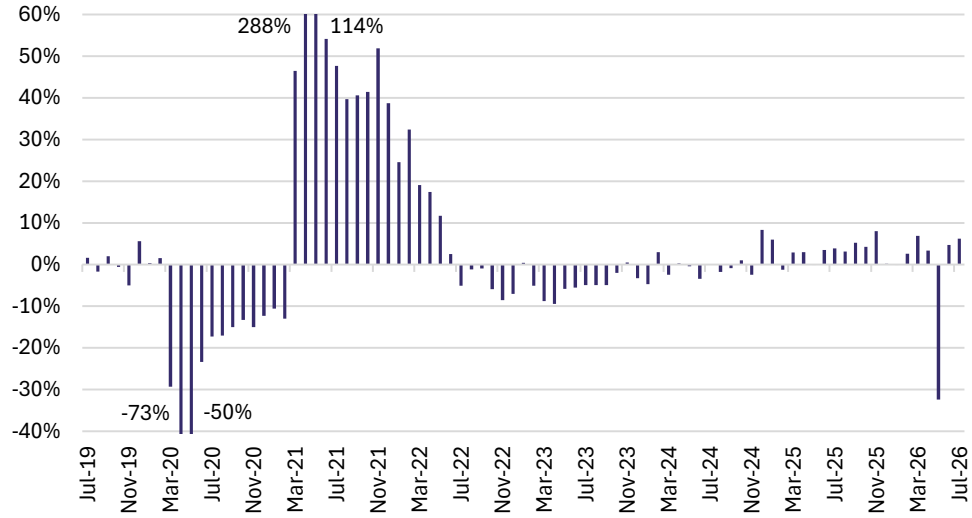
Source: Company Reports and Wells Fargo Securities, LLC estimates

Exhibit 57 - R12M Business Jet Cycles, 2015-Present



Source: FAA

Exhibit 58 - Business Jet Cycles Activity YoY % Change, 2019-Present



Source: FAA

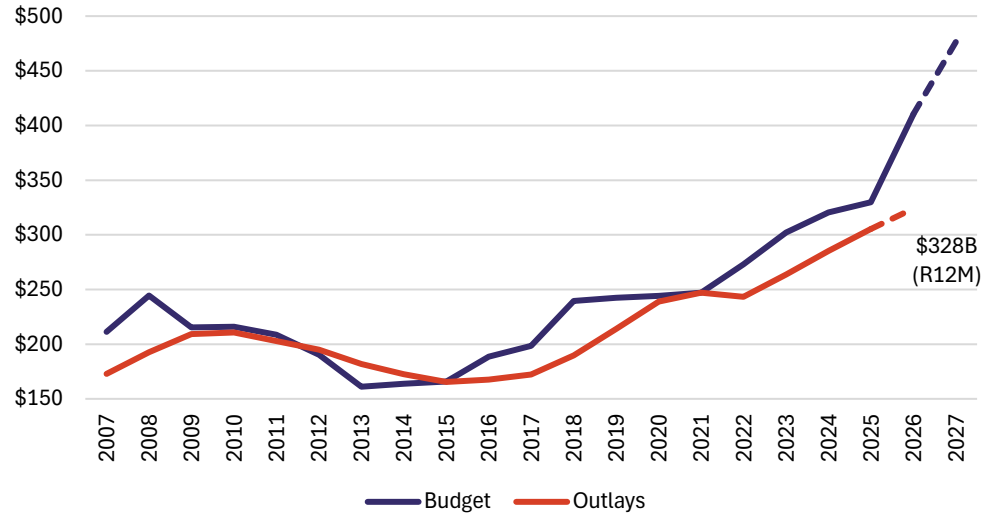
Defense

Exhibit 59 - Modernization Budget by Appropriations Account, FY25-27 Request ($B)

	FY25	FY26 Base Request	FY26 Reconciliation	FY26 Total Including Reconciliation	FY27 Base Request	FY27 Reconciliation	FY27 Request Including Reconciliation	Growth FY27 Base Request vs FY26 Base	Growth FY27 vs FY26 Total Including Reconciliation	Companies Most Exposed
Aircraft, Army	3.5	3.6	0.4	4.1	1.9	0.0	1.9	-47%	-52%	BA, LMT
Missiles, Army	7.5	7.3	0.7	8.0	12.1	24.5	36.6	66%	360%	LMT, RTX
Weapons & Combat Vehicles, Army	5.9	3.0	0.5	3.5	3.7	0.0	3.7	24%	7%	BAE, GD
Ammunition, Army	4.5	4.6	0.4	4.9	5.5	0.0	5.5	20%	11%	
Other Procurement, Army	10.1	9.4	0.6	10.1	12.7	0.0	12.7	35%	26%	
Chem Agents & Munitions Destruction	0.8	0.2	0.0	0.2	0.1	0.0	0.1	-74%	-74%	
Procurement, Army	**32.3**	**28.1**	**2.6**	**30.7**	**36.0**	**24.5**	**60.5**	**28%**	**97%**	
Aircraft, Navy	15.9	17.2	0.5	17.7	26.9	7.5	34.4	56%	94%	BA, LMT
Weapons, Navy	7.1	6.1	4.1	10.2	11.8	10.9	22.6	93%	123%	LMT, RTX
Ammunition, Navy & Marine Corps	1.9	1.1	0.2	1.3	2.0	0.0	2.0	78%	46%	
Shipbuilding and Conversion, Navy	39.0	27.2	22.5	49.6	60.2	5.6	65.8	122%	33%	BWXT, GD, HII
Other Procurement, Navy	15.8	14.7	5.8	20.5	18.9	0.1	18.9	28%	-8%	
Procurement, Marine Corps	3.8	3.7	0.3	4.0	6.3	0.0	6.3	71%	58%	
Procurement, Navy	**83.5**	**70.0**	**33.4**	**103.4**	**126.0**	**24.0**	**150.0**	**80%**	**45%**	
Aircraft, Air Force	19.8	20.0	10.2	30.1	27.0	3.7	30.6	35%	2%	BA, LMT
Missiles, Air Force	5.3	4.0	2.3	6.3	6.8	4.6	11.4	72%	80%	LMT, RTX
Ammunition, Air Force	1.0	0.8	0.1	0.9	0.9	0.0	0.9	18%	5%	BA
Other Procurement, Air Force	31.0	32.6	0.4	33.1	39.2	0.0	39.2	20%	19%	
Procurement, Air Force	**57.2**	**57.3**	**13.1**	**70.4**	**73.9**	**8.2**	**82.1**	**29%**	**17%**	
Procurement, Space Force	**4.0**	**4.0**	**0.3**	**4.3**	**9.6**	**9.4**	**19.1**	**139%**	**344%**	BA, LMT, NOC
Procurement, Defense-Wide	9.6	8.9	6.2	15.1	12.0	89.3	101.4	36%	571%	BA, LMT, NOC, RTX
Total Procurement	**186.5**	**168.3**	**55.6**	**223.8**	**257.6**	**155.5**	**413.1**	**53%**	**85%**	
Army RDT&E	14.5	16.6	1.8	18.3	18.7	0.0	18.7	13%	2%	
Navy RDT&E	26.1	27.9	6.7	34.7	32.4	3.8	36.2	16%	4%	
Air Force RDT&E	47.0	50.3	6.7	57.0	73.1	1.1	74.2	45%	30%	
Space Force RDT&E	18.5	14.8	5.5	20.3	38.4	2.3	40.7	160%	100%	
Other RDT&E	37.2	35.3	44.7	80.0	56.2	117.6	173.9	59%	117%	
Total RDT&E	**143.3**	**144.9**	**65.5**	**210.4**	**218.8**	**124.9**	**343.7**	**51%**	**63%**	
Army Modernization	46.8	44.7	4.4	49.1	54.7	24.5	79.2	22%	61%	
Navy Modernization	109.6	97.9	40.1	138.0	158.4	27.9	186.3	62%	35%	
Air Force Modernization	104.2	107.6	19.8	127.4	147.0	9.3	156.3	37%	23%	
Space Force Modernization	22.4	18.8	5.8	24.6	48.0	11.7	59.7	155%	143%	
Other Modernization	46.8	44.2	50.9	95.2	68.3	207.0	275.3	54%	189%	
Total Modernization	**329.9**	**313.2**	**121.0**	**434.2**	**476.4**	**280.4**	**756.8**	**52%**	**74%**	

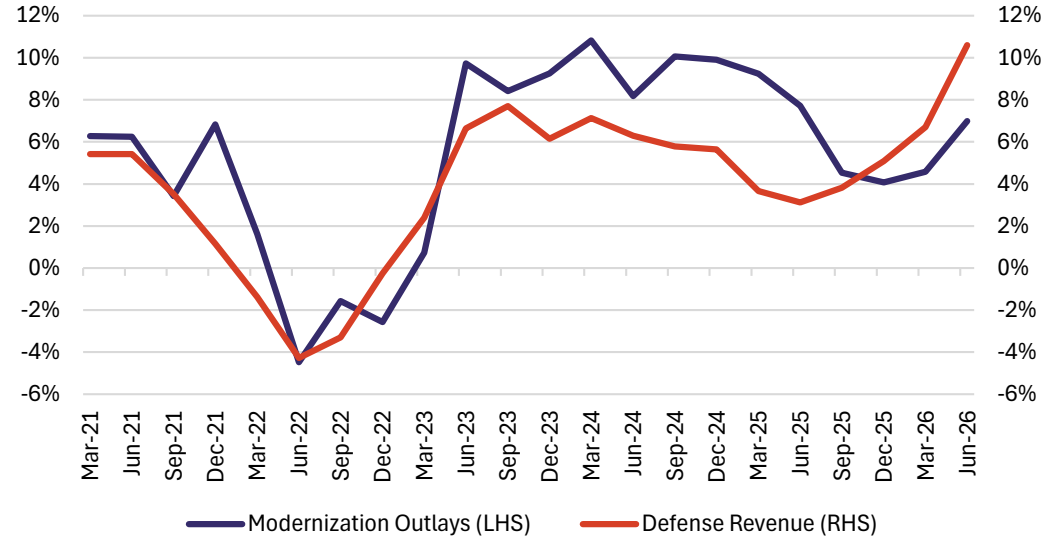
Source: OMB

Exhibit 60 - DoD Modernization Budget vs Outlays ($B)



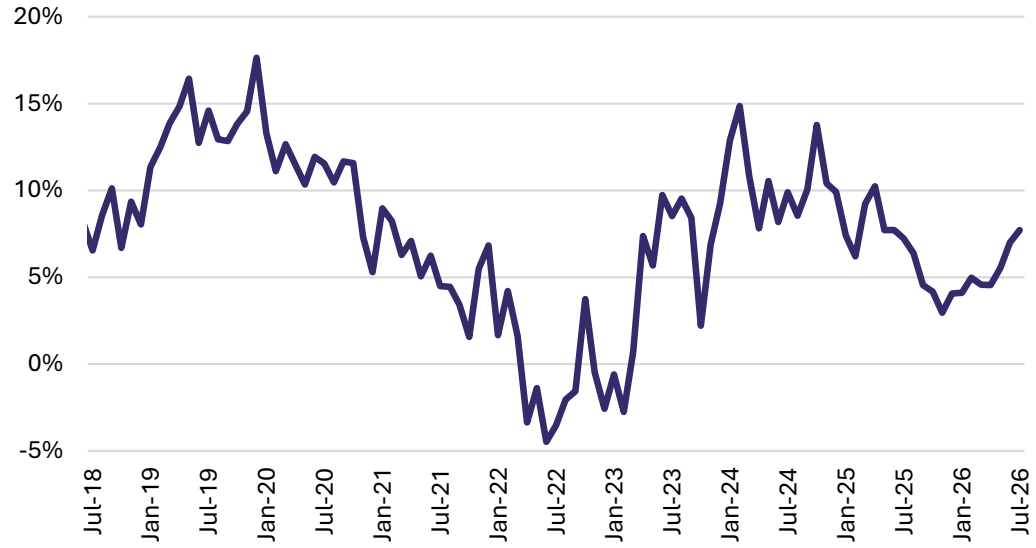
Source: DoD

Exhibit 61 - R12M Quarterly Modernization Outlays vs Defense Organic Revenue Growth



Source: Company reports and US Treasury

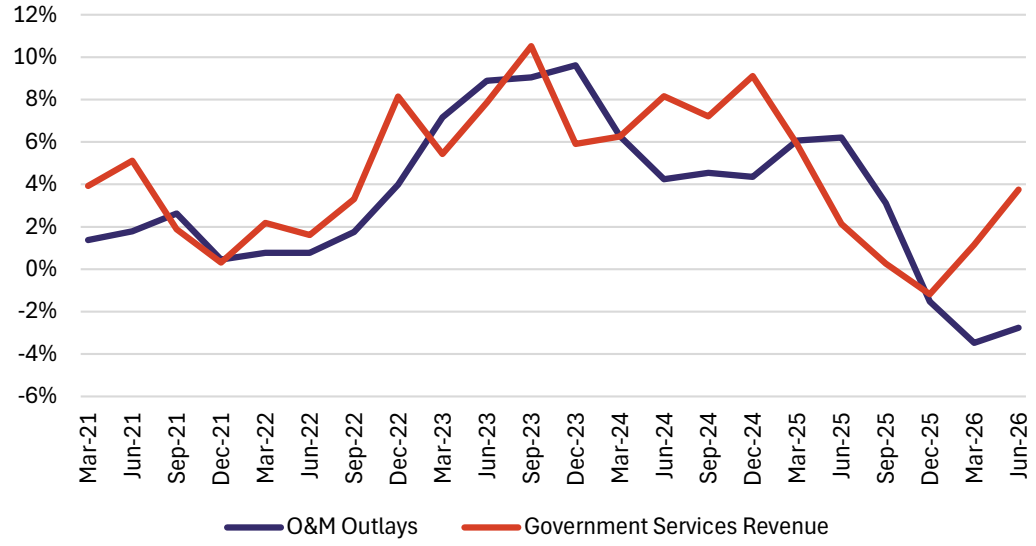
Exhibit 62 - R12M Modernization Outlays Growth



Source: US Treasury

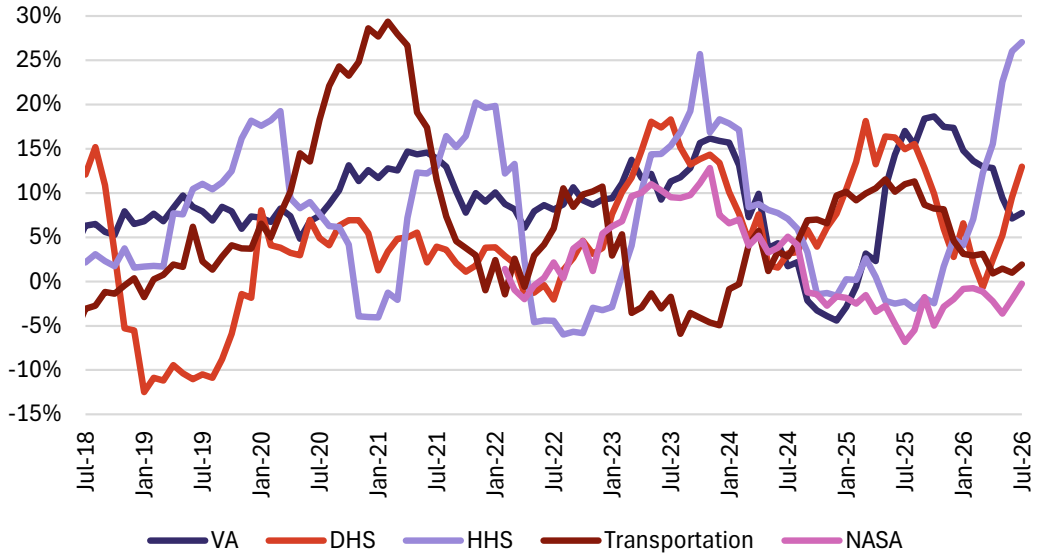
Government Services

Exhibit 63 - R12M Quarterly O&M Outlays vs Government Services Organic Revenue Growth



Source: Company reports and US Treasury

Exhibit 64 - R12M Civil Outlays



Source: US Treasury

Space

Exhibit 65 - Monthly Launch Table

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
Blue Origin	0	0	1	2	3	1	6	4	1	4	11	1	0	0	1	0	0	0	0
FLY	0	0	0	0	0	0	1	1	2	1	1	0	0	1	0	0	0	0	0
RKLB	0	0	1	3	6	7	6	9	10	16	21	2	1	3	2	1	2	0	2
SpaceX	7	8	18	21	13	25	31	61	96	132	161	12	12	15	11	12	14	12	9
ULA	12	12	8	8	5	6	5	8	3	3	5	0	0	0	2	0	0	1	0
Total	**19**	**20**	**28**	**34**	**27**	**39**	**49**	**83**	**112**	**156**	**199**	**15**	**13**	**19**	**16**	**13**	**16**	**13**	**11**

Source: FAA and Company Reports

Financials (Model Changes)

Exhibit 66 - ARXS Income Statement ($M except per share amounts)

	2024 Fiscal Year	1Q Mar-25	2Q Jun-25	3Q Sep-25	4Q Dec-25	2025 Fiscal Year	1Q Mar-26	2QA Jun-26	3Q Sep-26	4Q Dec-26	2026E Fiscal Year	2027E Fiscal Year	2028E Fiscal Year
Revenue	1,470	380	400	422	400	1,602	459	501	553	557	2,070	2,519	2,821
% YoY Growth						*9%*	*21%*	*25%*	*31%*	*39%*	*29%*	*22%*	*12%*
Cost of revenue	856	217	203	214	209	843	224	238					
Selling, general and administrative	226	69	81	66	68	283	88	194					
Stock-based compensation	3	0	0	5	18	23	0	0					
Convertible common stock compensation expen	0	0	0	0	0	0	0	0					
TRA compensation expense	0	0	0	0	0	0	0	0					
Depreciation & amortization	166	34	34	39	40	147	36	36					
Acquisition, integration, severance and business	114	0	0	5	19	24	0	0					
Operating income	106	60	83	93	46	282	111	33	157	154	454	748	895
% Margin	7.2%	15.8%	20.7%	22.0%	11.5%	17.6%	24.1%	6.5%	28.4%	27.6%	21.9%	29.7%	31.7%
Interest expense, net	(285)	(68)	(57)	(51)	(47)	(224)	(44)	(39)	(24)	(24)	(131)	(93)	(93)
Other	5	1	4	3	(4)	4	2	5			8	0	0
Pre-tax income	(174)	(7)	29	45	(5)	62	69	(1)	133	130	331	654	802
Tax rate	2.6%	36.7%	200.6%	25.4%	28.4%	105.6%	22.8%	-247.2%	25.0%	25.0%	25.7%	25.0%	25.0%
Provision for income tax	(5)	(3)	58	11	(1)	66	16	3	33	33	85	164	200
Net earnings	(169)	(4)	(29)	33	(3)	(4)	53	(5)	100	98	246	491	601
Adjustments		15	43				10	118	16	16	160	75	75
Adjusted net income		11	14				63	113	116	113	406	566	676
Common shares outstanding							410.4	407.5	415.0	430.0	415.7	432.5	436.5
Fully diluted shares outstanding							421.5	407.5	415.0	430.0	418.5	432.5	436.5
Adj EPS (basic)							$0.15	$0.28	$0.28	$0.26	$ 0.98	$ 1.31	$ 1.55
Adj EPS (diluted)							**$0.15**	**$0.28**	**$0.28**	**$0.26**	**$ 0.97**	**$ 1.31**	**$ 1.55**
GAAP EPS (basic)								($0.01)	$0.24	$0.23		$ 1.13	$ 1.38
GAAP EPS (diluted)								($0.01)	$0.24	$0.23		$ 1.13	$ 1.38

Source: Company Reports and Wells Fargo Securities, LLC estimates

Exhibit 67 - HEI Income Statement ($M except per share amounts)

	2023 Fiscal Year	2024 Fiscal Year	1Q Jan-25	2Q Apr-25	3Q Jul-25	4Q Oct-25	2025 Fiscal Year	1Q Jan-26	2Q Apr-26	3QA Jul-26	4QE Oct-26	2026E Fiscal Year	2027E Fiscal Year	2028E Fiscal Year
Revenue	2,968	3,858	1,030	1,098	1,148	1,209	4,485	1,179	1,376	1,413	1,450	5,417	6,067	6,618
% YoY Growth		*30%*	*15%*	*15%*	*16%*	*19%*	*16%*	*14%*	*25%*	*23%*	*20%*	*21%*	*12%*	*9%*
Cost of revenue	1,815	2,356	625	660	690	724	2,699	724	806	832		2,362	0	0
Selling, general and administrative expense	528	677	179	190	192	207	767	195	219	226		640	0	0
Operating income	625	824	227	248	265	279	1,019	260	350	355	366	1,332	1,550	1,720
% Margin	21.1%	21.4%	22.0%	22.6%	23.1%	23.1%	22.7%	22.1%	25.5%	25.1%	25.2%	24.6%	25.5%	26.0%
Interest expense, net	(73)	(149)	(32)	(33)	(32)	(33)	(130)	(29)	(34)	(36)	(34)	(133)	(116)	(90)
Other	3	2	1	1	2	1	4	1	1	1		4	0	0
Pre-tax income	555	678	195	216	235	247	894	231	318	321	332	1,202	1,434	1,630
Tax rate	20.0%	17.5%	7.0%	21.0%	18.9%	18.0%	16.6%	11.5%	21.2%	20.6%	20.0%	18.8%	20.0%	20.0%
Provision for income tax	111	119	14	45	44	45	148	27	67	66	66	226	287	326
Net earnings	444	559	182	171	191	203	746	205	250	254	266	976	1,147	1,304
Other income	41	45	14	14	13	14	55	15	17	19	15	65	69	72
Net income, adjusted	404	514	168	157	177	188	690	190	234	235	251	910	1,078	1,232
Net income, recurring	404	514	168	157	177	188	690	190	234	235	251	910	1,078	1,232
Common shares outstanding	137.2	138.5	138.8	139.0	139.1	139.2	139.0	139.4	139.6	139.7	139.9	139.6	140.2	140.8
Diluted shares outstanding	138.9	140.2	140.5	140.6	141.0	141.1	140.8	141.0	141.1	141.3	141.4	141.2	141.8	142.4
GAAP EPS (basic)	$2.94	$3.71	$1.21	$1.13	$1.27	$1.35	$4.96	$1.36	$1.68	$1.69	$1.79	$6.52	$7.69	$8.75
GAAP EPS (diluted)	$2.91	$3.67	$1.20	$1.12	$1.26	$1.33	$4.90	$1.35	$1.66	$1.67	$1.77	$6.45	$7.60	$8.65
Adj EPS (basic)	$2.94	$3.71	$1.21	$1.13	$1.27	$1.35	$4.96	$1.36	$1.68	$1.69	$1.79	$6.52	$7.69	$8.75
Adj EPS (diluted)	**$2.91**	**$3.67**	**$1.20**	**$1.12**	**$1.26**	**$1.33**	**$4.90**	**$1.35**	**$1.66**	**$1.67**	**$1.77**	**$6.45**	**$7.60**	**$8.65**
Dividend per share	$0.20	$0.21	$0.11	$0.00	$0.12	$0.00	$0.23	$0.11	$0.00	$0.12	$0.00	$0.23	$0.23	$0.23

Source: Company Reports and Wells Fargo Securities, LLC estimates

Exhibit 68 - YSS Income Statement ($M except per share amounts)

	2023 Fiscal Year	2024 Fiscal Year	1Q Mar-25	2Q Jun-25	3Q Sep-25	4Q Dec-25	2025 Fiscal Year	1Q Mar-26	2QA Jun-26	3Q Sep-26	4Q Dec-26	2026E Fiscal Year	2027E Fiscal Year	2028E Fiscal Year
Revenue	238	254	106	84	91	105	386	116	93	100	116	425	490	563
% YoY Growth		*6%*	*45%*	*105%*	*45%*	*37%*	*52%*	*9%*	*10%*	*10%*	*10%*	*10%*	*15%*	*15%*
Cost of sales	183	221	82	74	70	84	311	94	70	75	87	326	367	411
Gross Profit	55	32	25	10	20	21	75	22	22	25	29	98	122	152
% Margin	23.1%	12.8%	23.2%	0	22.3%	20.0%	19.5%	19.0%	24.0%	25.0%	25.0%	23.1%	25.0%	27.0%
R&D	7	20	4	5	5	5	18	5	6	4	5	20	15	15
SG&A	94	104	27	26	41	34	128	127	58	50	58	293	207	197
EBIT	(46)	(92)	(7)	(21)	(26)	(17)	(71)	(110)	(41)	(29)	(34)	(214)	(99)	(60)
% Margin	*-19%*	*-36%*	*-6%*	*-25%*	*-28%*	*-16%*	*-18%*	*-95%*	*-45%*	*-29%*	*-29%*	*-50%*	*-20%*	*-11%*
R&D	3%	8%	4%	6%	5%	4%	5%	5%	6%	4%	4%	5%	3%	3%
SG&A	40%	41%	25%	31%	46%	32%	33%	109%	62%	50%	50%	69%	42%	35%
Interest expense, net	24	29	7	7	7	3	24	(2)	(1)	2	2	2	10	10
Other	(1)	4	(0)	(1)	(1)	3	1	6	(1)			5	0	0
Pre-tax income	(69)	(124)	(13)	(27)	(32)	(23)	(95)	(115)	(39)	(31)	(36)	(222)	(109)	(70)
Tax rate	56.9%	20.4%	10.0%	10.0%	37.2%	-22.4%	32.6%	0.1%	-0.7%	15.0%	15.0%	4.5%	15.0%	15.0%
Tax expense	(39)	(25)	(1)	(3)	(12)	5	(11)	(0)	0	(5)	(5)	(10)	(16)	(11)
Net income	(30)	(99)	(12)	(24)	(20)	(28)	(85)	(115)	(39)	(27)	(31)	(212)	(93)	(60)
Other income	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net income	(30)	(99)	(12)	(24)	(20)	(28)	(85)	(115)	(39)	(27)	(31)	(212)	(93)	(60)
Shares outstanding								116.0	128.1	128.1	128.1	125.1	128.1	128.1
EPS								($0.99)	($0.31)	($0.21)	($0.24)	($1.69)	($0.72)	($0.47)

Source: Company Reports and Wells Fargo Securities, LLC estimates

Companies Mentioned in Report

Company Name	Ticker	Last Price (08/27/26)
Airbus SE	AIR-FR	€203.40
Arxis, Inc.	ARXS	$54.01
ATI Inc.	ATI	$214.52
Booz Allen Hamilton Holding Corporation	BAH	$74.88
BWX Technologies, Inc.	BWXT	$155.85
CACI International Inc	CACI	$633.82
Carpenter Technology Corporation	CRS	$490.58
Firefly Aerospace Inc.	FLY	$22.16
GE Aerospace	GE	$342.73
General Dynamics Corporation	GD	$380.06
HEICO Corporation	HEI	$337.01
Hexcel Corporation	HXL	$94.71
Honeywell Aerospace Inc.	HONA	$160.75
Howmet Aerospace Inc.	HWM	$267.65
Huntington Ingalls Industries, Inc.	HII	$297.29
Leidos Holdings, Inc.	LDOS	$139.86
Lockheed Martin Corporation	LMT	$565.89
Northrop Grumman Corporation	NOC	$545.13
Rolls-Royce Holdings plc	RR-GB	£15.30
RTX Corporation	RTX	$212.08
Safran SA	SAF-FR	€343.20
StandardAero Inc.	SARO	$25.08
Textron Inc.	TXT	$82.35
The Boeing Company	BA	$209.89
TransDigm Group Incorporated	TDG	$1,186.48
Voyager Technologies Inc.	VOYG	$34.73
Woodward, Inc.	WWD	$346.34
York Space Systems Inc.	YSS	$9.19

Source: Wells Fargo Securities LLC Estimates, FactSet

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Wells Fargo Securities, LLC has provided investment banking services for 38.7% of its Equity Research Equal Weight-rated companies. (HOLD)
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